Ep# 12 | WTF is The Restaurant Game? Nikhil w/ Pooja Dhingra, Zorawar Kalra & Riyaaz Amlani

[Speaker 3] (0:00 - 0:16)

This show is meant solely as an exercise in education for entrepreneurs. I think this will be incredibly useful to so many young people who want to start a restaurant.

[Speaker 1] (0:16 - 0:18)

This is a crash course in restauranting.

[Speaker 3] (0:36 - 6:59)

Okay guys, ready, start. Hi guys, thank you for flying down to Bangalore. On a Friday night.

On a Friday night. I hope this is not the worst way to spend your Friday night. We'll try and make it as fun as we can.

The intent of this show is very much not to make it about ourselves. So typically, you know, none of our egos come into play or what we do too much. It's more focused on an entrepreneur who wants to start a restaurant.

I think pretty much everybody wants to open one. At some point in their life, they've thought of it. I've thought of it.

I've attempted it and failed a bunch of times. So we'll focus on that. And through the show, let's try and cover all that might be needed in opening a restaurant.

And every point that we can cover, we'll try and approach. Let's start with introductions. Let's start with Pooja first.

Tell us about you. Where do I start from? From the beginning.

From the beginning. So I'm from Bombay. I grew up there.

I started baking when I was six years old with my aunt. And I just thought it was really beautiful, simple ingredients. Tell us a bit about your parents as well.

My parents, so my dad ran his own business, which was importing ball bearings. And my mom was a housewife. And so she used to cook and bake a lot.

So I used to bake with her. Is there a lot of money in ball bearings? So what we're trying to do is a euphemized way of asking, was your dad wealthy?

He wasn't initially. He started off, you know, he was kicked out from the family. So he had to start

his own business.

It took him a lot of time to kind of find his ground. So we actually grew up with, you know, being very conservative and being told that you can't afford this and you can't do that. But they did the best that they could for us, right?

We went to a good school. And then as we grew up, like his business also did well. And then that kind of, you know, we saw him, at least for me, that was a great sort of thing to see what you can build from scratch.

And I always knew that if I had to do anything, it would never be a job. I would always do something of myself. And things got better while you were in high school or something?

Things got better when I was in high school. And then I was lucky enough to go to study hospitality in Switzerland, followed by culinary school in Paris. And then there was a stop because then I wanted to go to Australia.

I didn't want to come back. I just wanted to go everywhere. And they said it's enough.

So before I went to Paris, I kind of spoke to them and told them that this is my plan. So you went to which school in Bombay? Bombay Scottish.

And you were there up until what age? 10th standard. Then I went to Jai Hind College.

And you continued baking from age six along the way? Along the way. I was not a very good student, but I was very loved.

And I was a teacher's pet because every Monday I was the kid who got brownies and cookies and chocolates to class. So everyone loved me because of that. And I just saw the joy that dessert got, you know, like for me, that was like the start of it.

And back then there was not too much that you could do with, you know, you couldn't be a chef, at least for a girl that was unheard of. What kind of brownies? What kind of brownies?

I was 13. Okay, they were normal chocolate brownies. But yeah, and then I actually thought I wanted to do law.

So I joined law school because, you know, being in the F&B world at that point for a girl was just like, are you really going to do this? And then two weeks into law school, I said, this is not for me. And I went to them and I said, I want to quit.

And they said, what would you like to do? I said, own a cafe someday, get into hospitality. Said, okay, education is important.

So I picked Switzerland as a school and spent four years there. Worth it, like going to Switzerland

to study? It was incredible.

Are there any options in India at all to learn baking, cooking? Many, now many, especially baking now, yes. Back then there weren't too many.

But do they compare with the college you went to? I would say yes. In fact, Lavon in Bangalore is great.

I mean, if it existed when I was younger, I would have gone there instead of going abroad. I go to Lavon almost every weekend to have avocado toast and coffee in the morning breakfast. Really good place.

Okay. So you went to Switzerland and then? Then I went to Paris because in Switzerland, I worked through different departments, realized that the pastry kitchen is where the heart really is.

And then I came back to them and told them I want to go to Paris. And my dad said, it's too expensive. Not right now.

And then I convinced them, I gave them a business plan and said, but I want to come back and open this thing. And I want to do this and this and this. And they somehow believed me.

How expensive is it going to a cooking school or baking school in Switzerland? Back then, this is now 16 years back. I think the school in Paris was like 40 lakhs.

A year? Yeah. And now it would be today?

Maybe 60, 75. And that's your four-year course. What is it called?

There was a diploma in French patisserie that was in Paris. And there was a degree in hospitality and international business in Switzerland. Okay.

And typically somebody who goes to a college like that, and if they were to try and get a job, A, is it easy? And B, how much do they get paid? So at least for all my...

So the interesting statistic is that about 50 to 60 people that study, go to hospitality school, don't end up in the industry. They end up doing different jobs. Even pastry school, actually, not too many people actually have stayed back.

Why is that? It's hard. It's extremely hard.

And it's tough and you know, you earn a lot more if you do like a sales job or something else. So a lot of my colleagues, friends got in with the international chain. So you get in with a hire, tilt in, you know, you do programs with them, travel, go to the US, do a management training program.

And then you're with that organization for 10, 15 years. Like if you were to go to college in

Switzerland and come back, do you get paid more here?

[Speaker 1] (7:00 - 7:30)

I think the degree of an international quality one like she has, will definitely give you a head up in the selection process. But I think hotels especially have a fairly regimented salary structure. So if you're coming in at a certain position, I don't think you're going to get significantly more just because you came out of a wonderful school like hers.

Probably going to get paid the same, but I think your career path, you know, the expediency at the rate at which you'll grow could be faster. But I guess that's got more to do with communication.

[Speaker 3] (7:30 - 8:02)

In fact, when I came back, it was really hard for me to find a job. The reason I also started my own thing right away and didn't work anywhere because now 14, 15 years ago, there weren't any standalone restaurants. There were literally like a couple of them.

And then all the hotels usually just hire from the hotel schools that they have. So Taj will only hire from IHM, etc. So it was, it was tough.

Like I did a whole bunch of interviews and then I was like, okay, just got to do this. Okay. So Switzerland, you studied for a diploma, which took how?

A degree for four years.

[Speaker 2] (8:02 - 8:02)

Four years.

[Speaker 3] (8:02 - 8:37)

And then? And then Paris for a year. And what did you study in Paris?

Diploma in French patisserie for nine months. And then I worked in a chocolate shop for three months, which was amazing. And then you came back to India and then?

I came back to India in 2010 and 2009 and just saw that, you know, there was, it actually felt like all the hotels and restaurants kind of had the same pastry chef because you got like five desserts in everywhere you went. And there was like that blueberry cheesecake and, you know, and I think Mocha was the only one I have to say that was differentiated.

[Speaker 4] (8:37 - 8:38)

Thank you for the plug, Pooja.

[Speaker 3] (8:38 - 8:45)

No, but I told you, I made the, Rohan and I made the, that chocolate.

[Speaker 2] (8:45 - 8:46)

The Vertigo?

[Speaker 3] (8:47 - 8:48)

Yeah, the Avalanche.

[Speaker 2] (8:48 - 8:49)

The Avalanche.

[Speaker 3] (8:49 - 9:17)

Mocha used to have this chocolate Avalanche, it was great. And so I fell in love with macaroons when I was in Paris. I came back, saw that everything was too similar, found that there was an opportunity here, decided to test it out.

So I started baking for my home kitchen. I was in every mall, every event, everything, and just got people to taste it. And I saw that people loved it.

And 2009, 2010, got my first small 500 square foot kitchen, started working with a team of three.

[Speaker 4] (9:18 - 9:19)

And then, Where was this?

[Speaker 3] (9:19 - 10:37)

In Lower Parel in Bombay. And slowly just, you know, started. I had my little kiosk at Good Earth in Lower Parel, which was what really helped us because it was the same exact target audience.

And then slowly started doing caterings and parties. I was teaching a lot. So I was teaching baking.

I enjoy doing that. Is that a profession that pays well too, teaching? It does.

Teaching at a college or like personally? No, personally at a studio. So I wanted to know what I learned in Paris, etc.

So I said, looked at it, saw it as a good opportunity. And actually, initially, the classes paid the bills more than the pastry. Because everyone was like, Okay, what are you going to teach us

today?

And I would just do like week long sessions and people would fly down from all over India and come and do these classes. And you found them through social media? No, back then, I used to have a blog.

This is like 13 years ago. So Instagram didn't exist. And Facebook was just like, you know, I used to have a blog.

And then just through press. Very interesting. And then?

And then? I'm going to nudge you to talk a little bit. Because I've heard you're a shyer.

And that's like an understatement. She's not getting paid by the word. She's not getting paid by the word here.

Pooja is shy. Yeah, apparently.

[Speaker 2] (10:38 - 10:44)

Right from the get go, I think she was one of the most celebrated people in the industry.

[Speaker 1] (10:44 - 10:47)

Nice. Thank you. She's the boss lady of macaroons in India.

[Speaker 2] (10:48 - 10:49)

She's just a boss lady.

[Speaker 1] (10:49 - 10:50)

Are you focusing on macaroons?

[Speaker 2] (10:50 - 10:52)

Because everybody's saying macaroon, macaroon.

[Speaker 3] (10:52 - 10:53)

That's what we're known for.

[Speaker 2] (10:54 - 10:55)

But you do everything else.

[Speaker 3] (10:55 - 10:58)

We do everything. But 50% of our revenue comes from macaroons.

[Speaker 2] (10:58 - 10:59)

And the cookies are damn good too.

[Speaker 3] (10:59 - 11:08)

Yeah. And we just started cookies. We're trying to scale and get into a longer shelf life.

Wait, you started teaching? I started teaching. Got a 500 square feet.

[Speaker 4] (11:09 - 11:10)

I'm going to keep like a clear timeline.

[Speaker 3] (11:11 - 11:22)

Get them to talk. Linear. I started teaching.

And then I opened a couple of stores in Bombay. Okay. Wait, you had a 500 square feet kitchen?

For the longest time. You started teaching?

[Speaker 4] (11:22 - 11:23)

Paid for the kitchen?

[Speaker 3] (11:23 - 11:39)

No. In Loparel. Commercial kitchen.

Commercial kitchen. Started teaching. Opened the first store in Good Earth.

In Raghuvanshi Mills. Second store. Second kiosk in Palladium.

Which actually was really sweet. It was a little spot there that...

[Speaker 2] (11:39 - 11:41)

I thought Rhea carved out for you.

[Speaker 3] (11:41 - 11:57)

Yeah. By the way. Yeah, yeah, yeah.

There was... It was crazy. I was 23 and they called me and they're like, walk in the mall and pick your spot.

Wow. Yeah. So, I was like, I want this.

That happened because they tried your macaroon and they loved it so much. Yes, they did. And I'm still in Palladium now.

12 years later.

[Speaker 4] (11:57 - 11:58)

We still have... Wow. Star of Palladium.

[Speaker 3] (11:59 - 13:00)

I think it was just such a wonderful time. Like I was young. I, you know, I was just working constantly.

I didn't ever get time to look up and see what was happening. I didn't appreciate all the amazing things that were happening. Because you're so like focused on what you were doing.

And then we opened our first cafe in Colaba in 2016. Which was 2015, 2016. Which was like literally a piece of my heart.

That was the dream. That was what I really wanted to do. Cafe was coffee and...

Coffee, dessert, food. I had a friend from Paris who came down to do the savoury part of it. I did the sweet.

So, you started your Lower Parel. Then you started another store. And then?

Started three, four stores. And then the cafe. Give me the year as well.

Good Earth, Palladium, Bandra, Oshiwara. It was all like 2013, 14, 15. Is that a good way for people to start?

Go to like an existing enterprise and collaborate? Like maybe a Good Earth, for example. Amazing.

[Speaker 4] (13:01 - 13:01)

For home cooks?

[Speaker 3] (13:02 - 13:23)

Yeah, because it's like a shop and shop. Your customers are already there. You don't have to spend anything to...

And at that time, social media didn't exist. So marketing and acquisition was so different. Anyway, but it was great.

And then the cafe was a big dream, which I started in Colaba, which was really like it was a piece of my heart. And then we opened another cafe.

[Speaker 2] (13:23 - 13:25)

It was a quintessential French cafe.

[Speaker 3] (13:25 - 13:26)

It was beautiful. Yeah.

[Speaker 2] (13:26 - 13:27)

What was it called?

[Speaker 3] (13:27 - 14:46)

Love 15 Cafe. Why Love 15? It's the 15th Arrondissement in Paris where I lived, where my school was, where the Eiffel Tower is.

So I loved living in Paris. It was home away from home. So when I moved back, I wanted people to have the same feeling when they walked into our stores or ate any of our products to feel like they were transported there.

So... Okay. And then you started all this?

Started all this. Everything was going great. Raised some money to expand, to scale, from customers of Love 15 that became friends, that really wanted to be a part of the growth journey.

And then COVID happened, which was quite difficult. We had to shut down the cafes because it was just too challenging to keep them going. Have you been able to reopen them?

No, I think we just... I just pivoted and I said, I just looked at it from more of a business lens and said, what is it that I really want to do and how can I achieve scale? I do want to do a cafe someday again, maybe like a dessert cafe or a dessert bar.

But for now, it's just focusing on how can we open in more cities? How can we get our cookies and macaroons and scale them and have them everywhere? So that's what we've been working on.

And personal life? I'm going to focus on you for a while. I'm like on the spot.

It's like we're getting insights that we would not get.

[Speaker 2] (14:46 - 14:49)

Is there any exciting news to report? Oh my God.

[Speaker 3] (14:49 - 14:54)

What's my exciting news? Is there a new boyfriend? There is a new boyfriend.

What's his name? I will not say it.

[Speaker 1] (14:54 - 15:00)

Don't break the hearts of all the MasterChef viewers. Don't talk about it right now. You didn't even cover the MasterChef thing.

[Speaker 3] (15:00 - 15:42)

I haven't covered many things. I won't be sitting here for six hours because I want your other guests to also speak. Tell us a bit about MasterChef.

We're going to come back to the boyfriend. I'll ask Riyaz by then. Oh, you met him?

What's his name? How did you meet him? Raya.

Oh wow. I'll tell you a funny story. Once I applied to Raya and they rejected me.

I'm not kidding. Actual truth. How ago was this?

Not long ago. Let me not mention a time frame but not long ago. So you want to tell us something else about him?

No, I will not say anything more because my parents will listen to this. They know enough by now. They're going to question you either way.

So you might as well, you know.

[Speaker 2] (15:42 - 15:45)

Yeah, but I think that she doesn't want them hearing it on a podcast.

[Speaker 3] (15:45 - 15:51)

Yeah, yeah. I've also written seven... I'm going to divert it now.

[Speaker 2] (15:51 - 15:53)

I've written seven cookbooks. Those books, yeah.

[Speaker 3] (15:53 - 15:53)

Wow.

[Speaker 2] (15:54 - 15:54)

Amazing.

[Speaker 3] (15:54 - 16:31)

MasterChef. And MasterChef is on right now. I have a podcast called No Sugar Coat which basically I was really frustrated with everyone just saying that life is a piece of cake and life is a cakewalk.

And I was like, it's really not. It's like hard and it's tough. And everyone just sees, you know, the 1% of success.

But the backstory is quite different. So I started having these conversations with people from the F&B world. And the new season is out soon.

Riyaz is on in this season. Are you an outgoing puss? Wow, this podcast is really...

It's a proper interrogation.

[Speaker 2] (16:31 - 16:35)

There's a lamp over our heads. Yeah, they're like, tell us.

[Speaker 4] (16:35 - 16:43)

Tell us, who are your friends? Who are you famous for? See, mom hasn't asked me so many questions.

[Speaker 1] (16:43 - 16:48)

I think the mom has gotten in touch with him. He's the vessel through which the questions are being asked. I spoke to her.

[Speaker 3] (16:49 - 18:18)

Okay, I'll tell you something. So before COVID, I was a very different person. I was a person who thought everyone was her best friend and everyone was...

I was close to everybody. And then I actually started seeing a leadership coach during COVID. And changed a lot of the way I view myself, the way I view life.

Would you like to tell us more about that? Change yourself how? I always felt very underconfident and with the finance and business part of Love 15.

Because I just... I'm a creative person. The baking is great.

Marketing, all of that is great. But when it comes to finance, I feel like I was never... And for most girls, right?

You're never spoken to and told this is how you should run your finances. This is what you mean. Like even all my friends now, either their husbands or their fathers invest their money.

Not too many people, not too many girls actually doing that themselves. And so I was always... I always felt like I didn't know enough.

And I had like an accountant who stole a lot of money from me. Made me really... Like it put me through quite a bit.

Is this something you would recommend? When we went around looking at the participation of women in restaurant ownership, the number is abysmally low. Which is uncanny because unlike other industries, women tend to be better cooks, right?

I mean, historically and culturally women have...

[Speaker 1] (18:18 - 18:21)

Better managers, especially multitasking.

[Speaker 3] (18:22 - 18:51)

But it's not really... At least now it's changing and we see a lot of women in the kitchen as well. Not only in the pastry kitchen but also in the hot kitchen.

But 15-20 years ago, it was unheard of. You know, it wasn't... It is a very male dominated...

A professional kitchen tends to be very like... Why is that though? It's long hours, it's tougher.

Parents don't want their daughters to do that. Like it's a lot of cultural... You know, I think...

[Speaker 2] (18:51 - 19:04)

Very high stress. Can we please not make it about being a boys club? Because it's not.

The fact remains that it's a cultural stigma. People don't want... Their daughters.

[Speaker 4] (19:05 - 19:06)

I mean, I'm friends with all...

[Speaker 2] (19:06 - 19:07)

It's not a boys club.

[Speaker 4] (19:07 - 19:08)

I agree.

[Speaker 2] (19:10 - 19:39)

The taboo is not because it's a boys club. It is a boys club because nobody needs to do that. But it's not because...

Women tend to... If they get into the hospitality business, they tend to gravitate towards pastry, marketing, and HR. And we are seeing some women now standing up and handling the hot kitchen which is great.

We're seeing more women mixologists coming up. The best Indian mixologist was a woman. So the glass ceilings are being broken.

But it is also a cultural taboo.

[Speaker 1] (19:40 - 20:47)

You know, a stock broker, a soldier, and a chef in a busy kitchen are three of the most stressful jobs in the world. Statistical fact. So it's a high-stress environment, tends to be a lot of shouting, a little bit of that.

The good thing is it's changing. Within our system, we're seeing some of our most successful restaurants even overseas being run entirely by a female head chef. And it works beautifully.

There is something about the finesse that lady chefs are able to get. There's something about an empathetic nature that they're about to generate. A habitat, an environment that is nicer, softer, more creative.

It's just natural. I might be a little, I might be, I guess, making statements based on my own experience. But I genuinely feel that this is the way, this is the effect that ladies have on any environment that they inhabit.

It's just the nature of the gender. I mean, I think they just have this. And then management.

The detail-orientedness of our female chefs is markedly superior, I would say this. I've noticed this. The finesse, the beauty, the delicacy.

It's just there. What else changed? You said pre-COVID, post-COVID?

[Speaker 3] (20:48 - 22:04)

The first thing my leadership coach made me do is make a list of 10 people in my life that were most important. Why? And why do they belong there?

And that really, like, for me, moved things around. Because then it's like, these are the opinions that matter. And this is really what matters.

Everything else is noise. And you can talk to 10 million people and do everything else, but this is where it's at. Did you consciously cut out everyone else?

I didn't consciously cut out everyone, but everyone else became not as important as the 10 core. Who is in that core? I will not say that as well.

You'll get me into trouble. This is not like a put you in trouble kind of thing. Because we've never met before, I feel like the fastest way for me to get to know you is ask you things you wouldn't normally talk about.

Because then I know you really quickly. And we can cut the get to know each other time by a wide margin. Would you like to name that coach?

So if other people want. Sure, her name is Anasuya Menon and she works out of Bombay. So other people can reach out and take her help as well.

We did a lot of background research and, you know, we know the basics.

[Speaker 2] (22:04 - 22:07)

This is not equitable. We don't know anything about you.

[Speaker 1] (22:07 - 22:17)

We don't know anything about you. This is like a forensic audit. I'm worried what all you know, what all kind of dirt you've pulled out on us.

The two of us.

[Speaker 4] (22:17 - 22:17)

I don't have any dirt.

[Speaker 1] (22:19 - 22:23)

Clean slate. A lot. A lot.

Okay, super.

[Speaker 3] (22:24 - 22:43)

Thank you Pooja and sorry for pushing you a little bit. Now you guys can talk. It's not over yet.

It's not over yet. So we're going to like scratch it a little bit and come back and scratch the same wound again after some time. So you need a break.

Some respite. So I know Zoravar a little bit. We met recently and hung out.

[Speaker 1] (22:44 - 22:45)

At a wonderful cafe.

[Speaker 3] (22:45 - 22:47)

At a wonderful cafe in Goa. Yes.

[Speaker 1] (22:48 - 24:49)

Run by another fantastic female restauranteur. Yeah, actually. Atiya.

Yes, Atiya. I think she's doing a great job with health food, right? The food was great.

You guys ordered so much food. I knew I'd just had lunch. But everything looked so good, I still dug in.

But you're on a diet or something. You barely ate. I'm trying my best.

But my diets, I have a yo-yo life with diets. My diets are on and off and on and off. And I figured out that what really works long run for me is simple portion control.

Nothing is more sustainable than just limiting the amount of food that you eat. And then perhaps not eat after 6. 6.30, 7. Hard to do in our line of business. Because I think food, the love for food is the most noblest of all loves. It's God's gift to mankind.

It literally is. It's the only thing, think about it, that you can do three times a day, every single day and never get bored. There's another great thing he's given us but I don't think we can do that three times a day.

Yeah, sorry. Yeah, food is divine. Food is just love and my growing up and the kind of family that I did, food was the absolute centerpiece of our existence.

I mean, my daddy was actually what got my father into it. My father has carved out a niche for himself. I'm so unbelievably proud of my father.

I think he really brought about a renaissance for Indian food and growing up in Jigskalra's house was literally all about great food exposure from a very young age. I remember I had caviar at the age of eight or nine. He made me eat something as peculiar as anchovies by hiding it in cream cheese when I was 10.

Literally the kind of stuff that he would do because it was his passion. He lived for food. In fact, the country's first syndicated column on food at the Illustrated Weekly with Krishwan Singh was my dad's column.

He started off as a journalist, became a foodie, became a food writer and then he did what he did, put Indian food on the... And where did he grow up? Delhi.

Grew up in Delhi.

[Speaker 3] (24:49 - 24:55)

Was your dad like a career... When did he start cooking? When did this become a profession for him?

[Speaker 1] (24:55 - 25:45)

Journalism and then this? Yes, so you know he's written many books and some of these books especially Prasad has become like a common stay at catering colleges and schools. It's literally used as a tool to make people learn cooking.

He was never a chef. He was a journalist who simply had a God-given palate and his palate was so sublime that he could work with the great chefs of India and improve recipes. But more than that he was a historian.

He devoted his life to documenting, researching and then recording Indian food. Because unlike French or German or Japanese, any of these cuisines are fairly well documented. There are standardized recipes.

In India we have this Khansama culture where these really good cooks and chefs want to hide recipes. So the recipes were never documented and they were all over the place.

[Speaker 3] (25:45 - 25:55)

You have so much passion when you speak about your father. Has that relationship changed from when you were a kid to when you were a teenager to an adult to now?

[Speaker 1] (25:56 - 27:11)

What works? From a combination of fear and awe to unbelievable respect somewhere in the middle to copious amounts of love towards the end of his life. How old is he now?

Unfortunately he passed on in 2019 after a 19 year battle with stroke. So he actually had a big stroke. By the way a lot of the viewers will think stroke is related to the heart.

It's got nothing to do with the heart. It's a brain infarct. And it left his left side paralyzed.

In fact he was the most frequent flyer in India and overnight he became bedridden for 19 years. And it was probably the worst week of my life. I was 22 years old.

I was thrust into the wide world with all this responsibility and absolute sense of fear and ambiguity. I didn't know what was going to happen. My biggest fear was is he going to live?

Because I didn't know what a stroke was. Most of India didn't know what a stroke was. Many people today and I've spent a lot of time by the way working on trying to spread the knowledge of what a stroke is so that if it happens to you in your house, God forbid, you're able to take action.

This by the way is the biggest fear for me.

[Speaker 3] (27:11 - 27:39)

If somebody were to define one fear I have in life, it's probably regretting not spending time with my father when I could have. And you know beyond a certain point it's not the same. The quality of the time spent is not the same because they're not as mobile, they're not able to do many of the things they might have done when they were younger.

What part of your current journey is his journey that you're trying to complete?

[Speaker 1] (27:40 - 29:17)

Everything. Every single thing. Is it the same recipes which are continuing?

They are the basis and the foundation of everything I've ever done. Whether it's modern, anything related to Indian of course. I have other brands.

But you do burgers and everything. Obviously limited but actually technically he has given me exposure to my palate. He's given exposure to my palate.

So technically even stuff that he did not engage in. He only did Indian food. He focused purely on Indian food.

It was his love. His personal crusade was to put Indian food on the global palate. And he devoted 40 years of his life to it.

The best way on earth to export your culture is through your food. And he did that. Every morning I wake up I feel a baton is being passed on to me.

So actually the real goal of our company is not to just open restaurants but literally to put Indian food on the global palate permanently. Where I can't dream, I mean I cannot help but dream of a day where maybe a decade from now or even earlier every top city in the world a diner or a tourist considers an Indian restaurant as one of the three dining destinations. And I think Indian food is the greatest cuisine on earth.

It has the deepest culinary philosophy. It has a sophistication that is completely unparalleled. It has a variety that is you know a simple state will have more vegetarian food variety than entire continents.

That's the depth and the sophistication and the sheer intellectual property that our ancestors left behind. And it's up to us and it's literally our responsibility to make sure that the world recognizes it.

[Speaker 3] (29:18 - 29:51)

For a lot of people this relationship father-son working in one business is very complicated. Each is coming from a certain place of insecurity. Like one is trying to hold his prevalence for the lack of other words and the other is trying to create his own identity.

What do you think worked for you guys if it worked as a father and son working together that you were able to manage the egos associated with a situation like this?

[Speaker 1] (29:52 - 30:19)

My father was a cusp between a Taurus and a Gemini. Although I don't think he had any Gemini in him. I think he was all bull.

So, very tough guy. Very demanding person and had a big ego. He also had a short temper and maybe genetically, I got some of these aspects within me as well.

He says that two swords can't stay in one hand. Are you like him? I am in many ways.

I think he's...

[Speaker 3] (30:19 - 30:23)

The little bit I know you, you sounded like you described him just now. Would you agree?

[Speaker 1] (30:26 - 31:34)

I... I genuinely think that a son because of the awe in which he places his father is going to be heavily influenced by what their father does and in some subconscious way or maybe in some genetic way, I don't know, starts emulating them. So in some ways I think it could be a subconscious reaction.

In some ways it could be an active learning. Like I saw him solve issues in a certain way. So I think, oh wait a minute, as a child, this is the right way to do it.

We were a fairly disciplined house. In some ways I do emulate him but I think growing up, because he got sick and was not as actively involved in the business as he would have liked to be, it worked. I have a feeling I would not have been able to work for him.

So I think it's destiny that I was able to take the reins and then I had this incredible figure behind me as my mentor and my support watching my back. And the inherited goodwill that I've got from him has helped me immensely and I make no bones about it. I don't think I would have had success as quickly had I not been Jigsaw's son.

[Speaker 2] (31:35 - 32:17)

But I don't know man. I think you did him proud very quickly. I think he was one of the first people.

I remember Punjab was where I first met him and I said, there's something here. There's a bright restauranting mind behind this product. All the touch points beautifully covered and at that point of time he had just started off on his mission to put Indian food back.

It was till I think about 2000 and I think maybe 2005, Indian food was everybody's guilty pleasure. Nobody would admit to eating Indian food. They would only go to European restaurants.

Nobody used to go out to Indian restaurants anymore.

[Speaker 1] (32:17 - 32:17)

It's not cool.

[Speaker 2] (32:17 - 32:27)

And then you came in and you changed all of that and I think that everybody only said Zoravar. You never heard Zoravar Kalra. You did good.

[Speaker 3] (32:28 - 32:29)

There was this pan shot.

[Speaker 2] (32:30 - 32:32)

That was a creation. The pan shot.

[Speaker 3] (32:32 - 32:38)

It became a rage. I remember it. So you went to MBA Boston.

Tell us a bit about that. MBA in what?

[Speaker 1] (32:39 - 32:41)

MBA in Information Systems, MIS.

[Speaker 3] (32:42 - 32:42)

Why?

[Speaker 1] (32:43 - 33:02)

Did you not know up until then that you were going to do this? Always. Probably pre-teen years.

So maybe when I was 11, 12, I decided this is all I want to do. I was in awe of my father. I saw his lifestyle.

I saw the way he was given respect. He was on TV. By the way, the first TV show in India ever was my father's show.

[Speaker 3] (33:02 - 33:16)

While you were in awe of your father, did the ego of a young teenager also want to supersede the father? While you loved your father, did you want to lose the name Kalra and be called Zoravar?

[Speaker 1] (33:16 - 33:47)

To be honest, never. Psychology, big fan. To be honest, not even for a second would I ever have.

I always thought, how can I harness his goodwill and how can I learn from him. And I was fine him being the head but my being part of the journey. To be honest, even though that's not my, like I would never work if I were to work for anybody in this world, it would probably be only for my father.

I don't have a better mind like Pooja just said. She said that she doesn't see herself working for anybody.

[Speaker 3] (33:47 - 33:59)

But Zoravar, I know you. You're a very opinionated, strong-headed person who believes in a certain thing and will fight for it. So, working with your dad, there must have been points of contradiction every day.

[Speaker 1] (34:01 - 34:39)

What went on in your head at that point? So, firstly, I was very clear that this is all I want to do. I

wanted to be in the food space.

I used to love hotels but I realized very soon that my passion is really for food, not really for building these big structures and running rooms. And the idea and the sole purpose of pursuing the MBA was to arm myself with the knowledge and the know-how to be able to run a business at scale. And I was always going to come back and be in the restaurant business.

There was simply no other way around. In fact, my father was responsible for building some of the most famous restaurants. Bukhara, Dumpukht.

I mean, these are institutional restaurants.

[Speaker 3] (34:39 - 34:44)

Also now Punjab Grills, Jazzy, Botai, Masala Library, Louie Burger, Papaya.

[Speaker 1] (34:45 - 34:58)

So many. Thank you so much for that. But those are still, you know, came about later.

But he used to own, he did not used to own those. And I used to think, yeah, it would be great if I could own the Bukhara brand.

[Speaker 3] (34:58 - 34:59)

Most of these started beyond his time?

[Speaker 1] (35:00 - 35:33)

All of these started after he was fully, so Punjab Grill was the first one that I started while he was still hale and hearty in a way. Although Farzi Cafe also came about that time. He was already 10 years into the stroke.

But even before I got into the business, he built at one point in time, out of the 10 top grossing restaurants of India, five were made by one man. That included things like Great Kebab Factory, Dumpukht, Bukhara, Singh Sahib. So many restaurants he'd made.

What worked? His passion. Food, marketing, branding, vocation.

[Speaker 3] (35:33 - 35:37)

Like if you had to point at one factor that really worked at that time, what would it be?

[Speaker 1] (35:37 - 36:04)

For him, he was very good at rallying the entire media around his creation. And he was in that

sense able to, in those days when the only thing that worked, there was no, there was not even a mobile phone, was the newspaper. And he had complete command of the newspaper.

But then I think beyond that, it was the product. Till today, the most successful restaurant in India is Bukhara. Hasn't changed its menu.

I love that place, by the way. The dal, man.

[Speaker 3] (36:04 - 36:05)

Yeah.

[Speaker 1] (36:06 - 36:08)

The dal and even that huge roti they give you.

[Speaker 3] (36:08 - 36:09)

Family naan. So good. Yeah.

[Speaker 1] (36:10 - 36:34)

It's probably like 3000 calories a meal though, right? Oh, it could be even more. Don't go for dinner if you want to sleep that night.

Right. And eventually all Indians, all Delhiites, just love going there for dinner. It's packed.

It's packed for lunch too. It's one of my favorite restaurants. But I would never go there for a dinner.

But it's a show off restaurant. And lassi. And lassi is like 2000 calories by itself.

[Speaker 2] (36:35 - 36:40)

The only restaurant where the MD of ITC gets involved if the menu needs to change. Really?

[Speaker 1] (36:40 - 36:42)

Yeah. And he never gets involved because they haven't changed it.

[Speaker 2] (36:43 - 36:52)

They can't even move a stove. They can't move one of the stools. They can't do that, you know.

It's highly regimented.

[Speaker 3] (36:52 - 37:09)

And personal lives are our? I don't know if I'm right or wrong. Actually, I've seen that men like yourself, good looking restaurant owners and bar owners are very popular with women.

No? Where have I been living?

[Speaker 1] (37:14 - 37:31)

She's not gonna answer. We're peers. We're her peers.

So she's gonna be careful. Wait, are you married? Yes.

Married two kids. How long have you been married? I better not get this wrong.

2006 31st July. No 30th July was the marriage 31st was the reception. 30th July.

[Speaker 2] (37:31 - 37:31)

Well done.

[Speaker 1] (37:32 - 38:07)

Yeah, man. So the marriage now is stronger than it's ever been. And I don't ever talk about it.

I don't know how you've been able to get this out of me. Boss, kudos to you. This mild wonderful soft nature in which you ask questions is making me open up.

You didn't work on her. Everything I told you. What about your siblings?

I have one brother. Good relationship. He lives in the US.

He's now just started opening restaurants of his own. Riyaz, you had a black belt in Karate.

[Speaker 2] (38:08 - 38:09)

No way. I had a brown belt.

[Speaker 3] (38:11 - 38:13)

It says black on Google.

[Speaker 2] (38:13 - 38:15)

Don't read that stuff.

[Speaker 3] (38:15 - 38:17)

What happened? Was it restaurants?

[Speaker 2] (38:18 - 38:34)

No, I think somebody broke my nose. A kid half my size broke my nose. My nose and my ego both took a beating.

Did you give up on it? No, I think it fell away. I used to play.

Your nose?

[Speaker 3] (38:38 - 38:44)

And you guys, you know, this is not like one on one conversation. This is all four of us talking to each other. So feel free to butt in.

[Speaker 1] (38:44 - 38:45)

He's a good buddy of mine.

[Speaker 3] (38:45 - 38:50)

Yeah, exactly. Tell us something about him that he would not like to tell us.

[Speaker 2] (38:50 - 38:58)

By the way, I'm half Parsi, so my nose is correct. That shape went away with that.

[Speaker 1] (38:59 - 39:38)

Tell us one thing that he himself won't tell us. He is a softy at heart, but he does not like to, and I mean that in a very positive manner. He is a empathetic leader.

I have not seen a confrontational side of his yet. And I think that's a very good boss to have. But he's a soft leader at heart.

I'm not talking about confrontational from an outside perspective. He's a successful businessman. He cannot be that unless he knows how to look after his interests.

So that's the one thing I think.

[Speaker 3] (39:38 - 39:50)

We can cut this part out if you like. If you had, because maybe somebody's watching this who can do something about it, three regulations that need to change, top of the pie, what would you say?

[Speaker 2] (39:50 - 40:20)

Why do I need a police permission to sell a sandwich? I mean, why do I need to get a character

certificate from a police station to say I'm worthy of selling a glass of beer? Or to be able to sell a sandwich?

What business does police have in my affairs? I could have a big mega store and see ten times the volume of the amount of people coming to a restaurant. Why does restaurants need to have a police license, for example?

[Speaker 1] (40:21 - 40:22)

Police license, is it?

[Speaker 2] (40:22 - 40:36)

Yeah, police license. We need a police NOC for everything that we do. So if you want a food license, you have to go get a police clearance.

First. First, then they will give it to you. You want a fire NOC, you have to go to the police, then they'll give it to you.

You want an exercise license, you need a police NOC, then they'll give it to you.

[Speaker 3] (40:36 - 40:39)

I'm guessing this is like a layer which adds a cost as well.

[Speaker 1] (40:40 - 41:33)

Cost and unnecessary, right? What is the logic? You know, it's easy to get a gun at home.

You require fewer character certificates and fewer licenses and fewer checks to get a gun at home than to get a liquor license or to sell a sandwich. And I think it's just absolutely unnecessary. And it's...

So, by the way, just to put things in perspective, the restaurant industry overall is the second highest employer of human capital in India after agriculture. 10 million people directly employed. This is only going to grow.

Compounded annually, we're growing at around 21%. Which means every three and a half odd years, you're doubling in size. So the number of people employed will double in size.

So it's a very important industry. What is the purpose of having of dissuading people from entering the field? That is doing a noble cause.

Sustenance, you're giving food. It's a necessity.

[Speaker 2] (41:33 - 42:09)

Technically, you just need three licenses. You need tax. You need health to make sure that you're going to make sure that people are...

And you need safety. You need to make sure that it's fire compliant. You need to make sure that it's designed in a manner which is not hazardous to the environment, to the customers.

What other licenses would you need? And why do you need a license, for example? But yeah, we're still grappling with 36.

I think after many years of struggle, I think we've been able to get it from 36 to 32. Wow!

[Speaker 3] (42:09 - 42:14)

Kudos! So police number one then? Police license after that?

[Speaker 2] (42:14 - 42:34)

So again, why do you need a police license? Why is it that we are regulated with our timings? Right?

I mean, the fact that... Why is it? Again, it's an issue.

You can only serve from this time to this time. And then you cannot serve after that or before that. Whereas...

[Speaker 3] (42:34 - 42:36)

Is there a rule before that as well?

[Speaker 2] (42:36 - 42:46)

Yeah. So I thought only in the night, like beyond 1am, 2am. But then I get shut at 1 and open up at 2am.

No, that doesn't work. So...

[Speaker 1] (42:46 - 42:48)

Hotels are allowed by the way.

[Speaker 2] (42:48 - 42:48)

Yeah.

[Speaker 1] (42:48 - 42:50)

Hotels are allowed to give our license.

[Speaker 2] (42:52 - 43:59)

The excise licenses, again, it's crazy. Very highly regulated. Very, very expensive.

Still today, restaurants are almost treated like a rich man's indulgence, which is to be ignored rather than the infrastructure provider that restaurants are. We are literally participating in place building. We are growing communities.

We are bringing people together. We are not just about food and drink, but we are also about culture. We double up as public spaces, which India suffers from the lack of in a big way.

So we have the added responsibility of public spaces where people can commune with each other. We also have cultural spaces where you can't go and perform in big halls, but every artist, every musician, every spoken word artist has got their break first in a restaurant. So many things that restaurants bring to the table, but unfortunately it's not seen in a favorable light right now.

[Speaker 3] (43:59 - 44:01)

So you have a Parsi mother.

[Speaker 2] (44:02 - 44:02)

Yes.

[Speaker 3] (44:02 - 44:03)

Grew up in Bombay?

[Speaker 2] (44:04 - 44:06)

Grew up born and inbred in Bombay.

[Speaker 3] (44:08 - 44:18)

What is that? I've heard so much about Parsis and inbreeding and how the communities died. Like why is that?

[Speaker 2] (44:18 - 44:28)

Why has the community died? They just don't want to get married. I think they've wisened up.

Are you married? Sorry? You're married?

I'm married. Two kids.

[Speaker 3] (44:29 - 44:30)

How long have you been married?

[Speaker 2] (44:30 - 44:31)

10 years.

[Speaker 3] (44:31 - 44:31)

Parsi girl?

[Speaker 2] (44:32 - 44:32)

No.

[Speaker 3] (44:33 - 44:35)

So you're part of the problem.

[Speaker 2] (44:36 - 46:13)

I am part of the problem. But we got excommunicated from, we have a, it is actually nothing to do with religion, but it's more cultural. So I think in the 8th century when the first boatload of Parsis came in and they landed near Udwara in Gujarat, they made a promise to the king then that they will never intermingle because the king said, hey, we don't want you, you know, intermingling with and there's a very famous story about how they brought a glass full of milk and they said, do you see any more space in this?

And the Parsi asked for some sugar and he put that in and said, see, there's still space for sweet people in your country. And they made, yeah, so that is the legend. Always go with the legend.

What year was this? In the 8th century, 700 something. Yeah.

That was the first. That's when the Parsis came in. The Zoroastrians.

And 100 years ago, that's when the Iranis came in. The Iruns. So all the Irani surnames are recent immigrants and they're completely like different from the Parsis who've been in India for a very long time, imbibed a lot of the cultures, but have also not mingled the way other cultures have.

Because again, so if you marry outside your religion, you're excommunicated immediately. Your children do not become, so and that is again from your maternal side. From paternal side, the wife doesn't become Zoroastrian, but the children can become Zoroastrian.

[Speaker 3] (46:13 - 46:18)

So, it's very, very counterintuitive to other religions which want to propagate.

[Speaker 2] (46:19 - 46:31)

I think that this is again, I think it's become more of a cultural thing and I think that you know, true in Parsi style, they do keep their word. So I think you know, almost 1000 years later, they're still keeping their word.

[Speaker 3] (46:32 - 46:33)

But a very wealthy community.

[Speaker 2] (46:34 - 46:39)

An altruistic community, yes. Don't ask where they got the wealth. I'm sure there's enough literature out there.

[Speaker 3] (46:40 - 46:42)

Altruistic how? They donate? They give away?

[Speaker 2] (46:42 - 47:15)

Altruistic, yes. In a sense that, you know, there's a very famous saying that you never see a Parsi beggar or even a Sikh beggar. Because like the Sikhs, the community really reaches out and you know, offers a helping hand and there's lots of charitable initiatives done by you know, the big Parsi business homes.

They make sure that they provide great, good quality housing. They reach out and help and make sure that they are above poverty levels at all points of time.

[Speaker 1] (47:15 - 47:16)

They take care of their own.

[Speaker 2] (47:17 - 47:20)

They do take care of their own. They do take care of a lot of other people as well.

[Speaker 1] (47:20 - 47:25)

You've seen No, I meant that we like to claim the Parsis. We love them.

[Speaker 2] (47:25 - 47:27)

We're proud of them. We say, you know, I'm one of those people.

[Speaker 1] (47:28 - 47:33)

I think what, I've heard 150,000? Yeah, something like that. And today?

[Speaker 2] (47:34 - 47:35)

50,000 today.

[Speaker 1] (47:37 - 47:39)

The non-excommunicado ones.

[Speaker 3] (47:40 - 47:52)

Even my community people say it's going down. We're Konkanis, something called GSBs. We all need to sit together and work out strategies.

There is an element of self-deprecation in every five lines that you say. It's kind of cool.

[Speaker 2] (47:52 - 47:56)

Is it? Yeah, it gives you edge. I think I'm going to increase it to seven.

Yeah.

[Speaker 3] (47:58 - 48:01)

So you were a DJ at Parsi weddings?

[Speaker 2] (48:01 - 48:24)

At Parsi weddings, Catholic weddings. I grew up in a place called Baikala in Bombay, where we were surrounded by a large part was a Catholic community and some of it was because of my you know, my mother's side. Actually, I grew up more as a Parsi Are you religious here?

Not at all.

[Speaker 3] (48:24 - 48:28)

Are you Zorawar? Yes, I am. Pooja?

Spiritual.

[Speaker 2] (48:29 - 48:29)

Zero.

[Speaker 3] (48:31 - 48:34)

Okay, so you were a DJ and this was like a part-time gay college.

[Speaker 2] (48:34 - 49:13)

Yeah, I enjoyed it. I used to show up with cassettes, like a bag full of cassettes, all rewound and kept to the song that you want because there was no CDs at that point of time. And you had to have mixed tapes and you go with one tape recorder and another tape recorder and you had to press play.

Did you use the LPs? No, no. I couldn't afford LPs.

Cassettes, I could like pirate them and play whatever I wanted. I used to play Cliff Richards and Shaking Stevens and Chubby Checker and Riyaz seems like the original cool guy, right?

[Speaker 3] (49:13 - 49:18)

Like he must have been the popular guy in college. No? How many girlfriends did you have in college?

[Speaker 2] (49:20 - 49:28)

I guess my fair share. And a couple of other people's fair share. At least he's open about it.

[Speaker 3] (49:29 - 49:31)

And your father had a restaurant as well?

[Speaker 2] (49:32 - 49:36)

Yes, he did. Berries, where it all started from.

[Speaker 3] (49:36 - 49:36)

Parsi food?

[Speaker 2] (49:37 - 49:52)

No. Berries was a restaurant started by a gentleman called Mr. Berry. And that's how it gets its name.

It's actually Berries. But it became Berries. B-E-R-I Yeah.

[Speaker 3] (49:53 - 49:56)

So you grew up in Bombay and went to school?

[Speaker 2] (49:57 - 50:01)

I went to school. We're talking about the restaurant now? No, no.

Childhood.

[Speaker 4] (50:02 - 50:03)

This is like a movie, right?

[Speaker 3] (50:04 - 50:07)

It gives you so much insight into the person so quickly.

[Speaker 2] (50:08 - 50:27)

Yeah, I think we came there was a little bit of financial strain. I was very keen on earning my own money at a very early age. So my father's side comes from a community which are called the Khojas or the Agarkhanis.

[Speaker 3] (50:27 - 50:27)

Of course.

[Speaker 2] (50:28 - 51:46)

Prince Agarkhan, the followers of that. So it's a certain sect amongst the sect. As Khojas, we have maintained a lot of our previous practices.

And I think that's beautiful. So my father has a Sai Baba Mandir. Again, you know, this is not something that most Muslims do.

We used to go to Shirdi pretty often. Every Holi on Holika, we used to have a fire that we used to burn. During Diwali, we used to do Chopra Poojan, which is you know, you come down and you kind of write.

In a very Khoja way, by the way, that's very interesting. What you wrote on the book was all about you. We spoke about Agarkhan and we spoke about Kubez Jino Bhandar and we spoke about Lakshmi.

So it was this kind of a hybrid kind of a religion which I guess in many ways reflects what India is all about. Pragmatic. It's to have a knowledge and to have an appreciation for such a diverse and spiritually diverse nation that we are.

I think I'm quite blessed to have that upbringing.

[Speaker 3] (51:47 - 51:59)

A lot of your restaurants I've been to. I've been to Mocha. There's a smokehouse right down the road which makes a great grilled chicken and they have some fish.

[Speaker 2] (51:59 - 52:01)

What is it called? That memorable. It's good.

[Speaker 3] (52:03 - 52:09)

Social is good. Slinky and Bardo is good. Boss Burger I haven't tried.

Prithvi Cafe. Tell us a bit about that.

[Speaker 2] (52:10 - 53:04)

So Prithvi Cafe is actually a very very special place. It's part of Prithvi Theater and it was set up by Shashi Kapoor. The actor.

In memory of his father Prithvi Raj Kapoor. That's why it's called Prithvi Theater. And now run by his children Kunal Kapoor and Sanjana Kapoor.

Who literally are keeping the flag flying for the drama and the plays and that kind of cultural fabric. I think Prithvi is a very important part of cultural fabric of Mumbai at least. And I think Prithvi Cafe was first started by Adman Prahlad Kakkar.

And made it very famous.

[Speaker 1] (53:04 - 53:06)

Made a very famous restaurant.

[Speaker 2] (53:07 - 53:07)

Yeah.

[Speaker 1] (53:07 - 53:08)

The name is really cool.

[Speaker 2] (53:09 - 53:13)

Papa Pancho. He had one more before that. I think he was running the tea house.

[Speaker 1] (53:13 - 53:14)

Although it's in the news for all the wrong reasons.

[Speaker 2] (53:15 - 53:54)

Yeah. It got shut down because of a rat or something. It got shut down because he was being hustled.

But come to that later. Yeah so it was this place where Nasruddin Shah you can see him on the odd day Om Puri Makrandesh Pandey sitting with a pack of four square reading scripts. Screaming and shouting.

Emoting. You know. And every now and then a flautist would come in with a flute and just start playing in a corner and a tabla player would come and just do their own little rehearsal.

What kind of theatre is it?

[Speaker 3] (53:54 - 53:55)

Is it like that typical?

[Speaker 2] (53:55 - 54:01)

It's a it's a small little heartfelt little space. I don't think it seats more than 300 people.

[Speaker 3] (54:02 - 54:12)

Best cold coffee. Is Bollywood a big part of your lives in Bombay? Mine yes.

Yours as well. Because he was just mentioning some actors and musicians.

[Speaker 2] (54:12 - 54:13)

Oh no.

[Speaker 3] (54:14 - 54:29)

I see like a pattern in music and you which I'm gonna get to. Like going from DJ to studying entertainment management in UCLA to still your bars still kind of like revolve around the music that is played there.

[Speaker 2] (54:30 - 54:41)

I don't think it's about the music. I mean I love music you know. Everybody does.

Who doesn't love music? It's like saying everybody loves food everybody loves music. Everybody likes to have a good time.

[Speaker 3] (54:43 - 54:44)

Some people don't.

[Speaker 1] (54:44 - 54:45)

Music?

[Speaker 3] (54:45 - 54:46)

Not as much yeah.

[Speaker 1] (54:46 - 54:47)

I love music.

[Speaker 3] (54:47 - 54:49)

So do I. But I know people who are not like me.

[Speaker 1] (54:49 - 54:52)

There are varying levels of bad people you don't want to hang out with.

[Speaker 3] (54:53 - 55:00)

Right? Yeah. Are they in your 10?

No. So what is the connection with music? Nothing?

[Speaker 2] (55:01 - 55:59)

I wouldn't say nothing. You know I think that restaurants are a multi-sensory experience. And many times you know the take off point for a restaurant could be music.

So I would go to my architects you know and I would say okay this is like you know acid jazz what kind of place would you want to listen to acid jazz? And that for me would work as a really good kind of an entry point into the tonality of the restaurant. It doesn't really matter.

It's just that the tone as Rosawar very famously always says that it feels like a conductor. And it's like you know making sure that all the various elements which it could be food, it could be the plates, it could be the weight of the glass in your hand, it could be the sights, smells, sounds, all this goes to complete the experience that you have.

[Speaker 3] (56:00 - 56:05)

If you had to pick one thing that works for Slinkin Bardo is it, am I pronouncing it right?

[Speaker 2] (56:05 - 56:06)

Yes. Absolutely.

[Speaker 3] (56:07 - 56:10)

Is it music, location, food?

[Speaker 2] (56:11 - 56:11)

Bombay.

[Speaker 3] (56:12 - 56:18)

Okay I think now that we're done with the intros, we'll get into beginning our podcast.

[Speaker 2] (56:18 - 56:18)

The food?

[Speaker 3] (56:19 - 56:22)

We can eat and talk okay? This is very casual. Food is good, huh?

[Speaker 2] (56:23 - 56:24)

Yummy.

[Speaker 3] (56:25 - 56:39)

At the core of it all, restaurants are also like a real estate space, right? That's what McDonald's always claimed to be. How much you can monetize which area?

So if you can tomorrow start monetizing walls by displaying brands or selling stuff, would you do it?

[Speaker 1] (56:40 - 57:18)

Would you do it? Of course. Would love to do that.

Why aren't you doing it already? We are doing in some cases for example, in some of our bars, some key locations for logos are kept for some beverage companies. So a Budweiser, we have a link with Budweiser, we put their logos up, they pay us money for it.

I don't put cigarettes, but their ITC cigarette company would take a space on your bar, you can't sell it as far as I know, but you can put it over there and they'll pay you like a decent amount of money so you can. And then of course, there are some restaurants where you can actually buy the crockery and the cutlery as well. And art, art is lying on the walls.

[Speaker 3] (57:19 - 57:21)

London Arts Club does that. I've seen that in some places.

[Speaker 1] (57:21 - 57:24)

London Arts Club does that. You know the food you guys are eating, which was your favorite dish?

[Speaker 3] (57:25 - 57:26)

Each one, then I'll tell you why.

[Speaker 2] (57:27 - 57:28)

I like the keema. Yeah.

[Speaker 3] (57:28 - 57:31)

Same. Keema for me. Where's the keema from?

[Speaker 2] (57:33 - 57:34)

Oooh.

[Speaker 4] (57:35 - 57:35)

Very good.

[Speaker 1] (57:36 - 57:48)

So that's keema pav. Keema pav. Where's the prawn from?

This is from prawn, I don't know. Not mine. This is Farzi Cafe.

Yeah. And the prawn is from? Moonglava.

Oh.

[Speaker 3] (57:49 - 57:49)

So we're eating your food.

[Speaker 2] (57:50 - 57:59)

Good. You guys are proper evil people. This is a good thing I got dessert so I know where it's from.

[Speaker 3] (58:01 - 58:09)

We got a few options there too. Just to trick everybody. Talk amongst yourself.

[Speaker 2] (58:09 - 58:11)

Giving us a taste of our own medicine.

[Speaker 3] (58:12 - 58:24)

We want to create a template of how to start a restaurant and the intricacies of it. Before that we'll answer a bunch of questions about the industry, trends, what is growing, what is not, all of that.

[Speaker 2] (58:26 - 1:00:01)

But just to come back to the question you had asked earlier, we are in the real estate space. Sometimes people come to us for real estate for the price of a cup of coffee. But if you see where media is going, you're scrolling and you have exactly one second to capture somebody's attention to be a thumb stopper.

And hoardings you just, you know, out of home hoardings you're whizzing by, you either see it or you don't see it. In a restaurant you're sitting for about an hour and a half. You have undivided attention.

There is a place where actual behavior modification can happen. You can really in a more sensory way introduce products to customers. I don't see one day why a restaurant can't be like what a television channel is.

Give the food for free. The advertising pays for it. People are doing it all over.

Why not? Especially at some point of time it could become a model. We're trying a little bit.

We're doing a few little experiments. There are lots of places I think that restaurants have the capability to have certain influence over your behavior or influence you in a certain way. And it doesn't necessarily have to be on the walls.

It doesn't necessarily have to be commerce. But there are various ways that you can have an impact and actually work with other brands. Which is quite cool especially when you're in the business of culture.

[Speaker 1] (1:00:02 - 1:00:28)

Imagine if you're charging for the Wi-Fi but the food is free. It's like one of those bars tapas bars in style bars in Spain where you can go and there are tons of them. Shots and liquor oriented.

You pay for the drinks and the food is given for free. You could give for example a tech company could figure out how to sell a service for free and give you free coffee and free food. Is that the way forward you think for restaurants?

[Speaker 3] (1:00:29 - 1:00:31)

I see in Dubai restaurants.

[Speaker 2] (1:00:31 - 1:00:32)

One way.

[Speaker 3] (1:00:33 - 1:00:37)

I think socials is becoming a workplace during the day.

[Speaker 2] (1:00:37 - 1:00:39)

Social has always been a co-working space.

[Speaker 3] (1:00:39 - 1:00:49)

Do you think because you're using so much real estate inventory only at a certain time of the day the logical way forward would be to monetize the other times for different things?

[Speaker 1] (1:00:49 - 1:01:42)

So I think you're paying rent for 24 hours right? But you use it for basically 12 to 14 at max. You're paying salaries for the month you're able to utilize at max I think 8 hours a day.

I think restaurants are the final bastion of hope for human offline social engagement. It is the final bastion of hope because I really think the digital world is overcoming everything else. So I think the restaurants play a key role in binding families.

It's a huge responsibility as Riyaz said. But I think it is also we're in the business of giving happiness. It's a huge responsibility because people are coming to you to celebrate life's greatest moments.

A centenary. A marriage proposal.

[Speaker 2] (1:01:44 - 1:01:44)

Breakup.

[Speaker 1] (1:01:44 - 1:02:09)

Date. Breakup. Date night with your first love.

I really think and I really hope and I don't have a dystopian view of the future of restaurants. I have a very positive view. And once we get into the math of what India can offer you'll realize that we have not even scratched the surface yet for restauranting or delivery in India yet.

I have a thesis for businesses which are a place of passion.

[Speaker 3] (1:02:09 - 1:03:10)

Like restaurant or Bollywood or like things that you consider a passion which can also be a profession. The odds of success while we're trying to make this entire show for somebody who wants to start a restaurant to help them have all the details at hand and help them increase the odds of success. Whenever you are attempting a vocation of passion more often than not the odds are stacked against you because there are many other people who are attempting it not with a monetary gain in mind because it is cool to have a restaurant.

A lot of people want to retire to a bar on the beach. I know so many of my friends who knew nothing about restaurants but attempted it because it was some childhood passion or dream of theirs. So this is something to really bear in mind.

So the first thing I think we should really arrive at is across the board odds of a restaurant being successful, what do you think is an accurate number?

[Speaker 1] (1:03:10 - 1:04:09)

10%? 20%? So it's the highest morbidity rate business in the world 90% around that of restaurants fail within the first year and around 96% within 18 months and the biggest reason you won't believe is not necessarily lack of passion or getting into it for glamorous reasons it's under capitalization.

People have money to build a restaurant but they don't plan for the gestation and the gestation is what can kill you, it can demotivate you, it can make the quality become bad because you don't have money to pay the bills so you start compromising and unfortunately that's just the nature I think this is a passion play restaurants in general, it's not a 9 to 5, it's a lifestyle choice you have to get into it for the right reasons it cannot be an extension of your drawing room, if that's what you're trying to do, invest half the amount of money and make your drawing room better

[Speaker 2] (1:04:10 - 1:04:54)

You know I think a lot of people get in because and I use this, we were talking about ball bearings earlier and a lot of the people who do get into the restaurant industry, like made billions selling ball bearings but nobody knows who you are you know, you open up a restaurant it's not just glamour for some it's glamour, for some it's calling card, for some it is a networking opportunity

for some it is a childhood cherished dream, for some it is a leg up in society and for some it is genuine passion there are various reasons why people do get into the restaurant industry, my son is studying in America he doesn't want to come back he will only come back if he runs a restaurant

[Speaker 1] (1:04:55 - 1:04:57)

You forgot the biggest reason? He wants to get his son married

[Speaker 2] (1:04:57 - 1:05:00)

He wants to get his son married, he wants to settle in North India

[Speaker 1] (1:05:01 - 1:05:03)

He wants to hire his wife

[Speaker 2] (1:05:03 - 1:05:06)

He wants to hire his son

[Speaker 3] (1:05:06 - 1:05:14)

But what we are agreeing on broadly is the odds of success for a restaurant two year run is something like 3-4%

[Speaker 1] (1:05:14 - 1:05:27)

2 years 4% you could say there are obviously, you know outliers, but in general you would say under 10% would be the number where you would not have success So unless you bring

[Speaker 3] (1:05:27 - 1:05:34)

a specific USP that you can bring to the table 90% you will

[Speaker 1] (1:05:34 - 1:05:53)

fail, don't attempt it I think there is a secret sauce and that secret sauce is the last thing that Riaz mentioned which is passion, if you are passionate about it you will figure it out But wouldn't all 100 attempting it think they are passionate I don't think that higher percentage get into it with passion

[Speaker 4] (1:05:53 - 1:05:56)

I think few get into it with passion

[Speaker 1] (1:05:57 - 1:06:13)

Again I am not saying that you are going to 100% succeed, your chances of failure reduce drastically.

Define passion from this lens It's the only thing you can see yourself doing It's something that you would do for free and then figure out a way to make money from it, I think that's passion

[Speaker 2] (1:06:13 - 1:06:20)

Janoon, madness Something that doesn't let you sleep at night, an itch that needs to be scratched

[Speaker 3] (1:06:21 - 1:06:41)

But how long can passion also keep you going I will take my example I started this when I was 23 extremely passionate but 14 years I have had my ups and downs of this is hard work, this is awful, this is great I love it, do I hate it It's never really like that, passion also keeps fluctuating.

[Speaker 2] (1:06:42 - 1:06:48)

Everyday I wake up in the morning I am like, this is it why am I doing this, I am going to shut it down

[Speaker 3] (1:06:48 - 1:06:50)

And everyday you walk

[Speaker 2] (1:06:50 - 1:06:59)

into a restaurant, you see people having a great time and you are like, damn I love my job It's a constantly conflicted conscience, I think

[Speaker 3] (1:06:59 - 1:07:35)

Eating out patterns in India People in India eat out on average one time a week They spend $3 People in the US eat out on average 4-5 times a week In China it's twice a week But in China and US they spend a significantly higher amount of money In China the average meal is $10 In US it's $20 India is $3 Why do you think that is? Is it cultural? Why do people go out as little?

Is it because you can have a chef at home, we live in joint families there is always food at home

[Speaker 2] (1:07:35 - 1:08:14)

Stigma of wasting food You have to ask for one less plate one week in advance I don't want to eat today I think that we are eating out and we are growing very quickly We were eating out 4 times a month I think in 2014 when we did our first reports I think the 2019 report was just before

the we had come up to 8 times a month and in urban area we were up to about 16 times a month.

Give you an example Singapore eats out 52 times a month

[Speaker 3] (1:08:14 - 1:08:21)

I read that and I saw that the valuations of restaurant chains in Singapore is ridiculous They are billion dollar restaurant companies

[Speaker 2] (1:08:21 - 1:08:25)

But they are still not valued at the same value as the companies in India

[Speaker 3] (1:08:25 - 1:08:40)

If you increase the price of a dish in Smokehouse Delhi from 400 rupees to 600 rupees, you rebrand your menu that way Will people perceive you to be at a higher price point, hence higher quality and you get more footfall?

[Speaker 2] (1:08:41 - 1:10:07)

Let me look at it. India is a very value conscious market. It's not a price sensitive market, it's a value sensitive market.

Why is premiumization working? So premiumization, I'll tell you what premiumization is We saw in Delhi, took some progressive steps. They brought the excise duty down on liquor What we saw was that people, while the prices of the liquor went down in bars we reduced the prices followed suit, passed on the benefit to the customers.

The customers didn't drink more of their liquor They upgraded to the next one Do you understand? So where they were drinking a red label They didn't say, okay now I would typically have two red labels Now I will have three. They said I will have black label Because now that's the same amount of money that I'm spending So that's where I see premiumization happening.

That people are wanting to actually get into a better quality product. Or what they perceive to be a better quality product. We're not getting into the merits of the product.

But yes, that is where premiumization is happening. That people want to be consuming better They want to be consuming They want to go to brands. They want to go to brands that they trust and they go to brands where they feel that it will enhance their image prestige or their quality of life So what segment is, if Riyaz was a young man, 20 years old What do you mean if?

[Speaker 3] (1:10:09 - 1:10:27)

Younger man. If you were starting off at 20, what would you start? One option you have one crore

rupee budget What would you start?

A band But you denied the music connection. Somehow I've been like coming back to that, right? There's something in music there But what kind of restaurant?

[Speaker 2] (1:10:27 - 1:11:23)

What kind of restaurant would I start up all over again? One Highest odds of success not passion Social I would do that because for me I feel that in this country is the best product market fit that we are seeing We are an extremely young audience. We are an audience which believes in the gig economy in the freelance economy People are looking for places to work from.

They are you know, they're being social while they work and they're working while they're being social The lines are blurring We are looking for spaces to hang out where we can, you know, do some work meet people We're looking for, for want of a better word, we're looking for accessible v-works and we're looking for accessible solo houses I think that that's the role that social

[Speaker 3] (1:11:23 - 1:11:25)

And you could set up one in one

[Speaker 2] (1:11:25 - 1:11:32)

No, I could set, I could put equity and the rest I would get in credit.

[Speaker 3] (1:11:32 - 1:11:35)

Is it easy to get credit when you're starting a restaurant?

[Speaker 1] (1:11:35 - 1:11:58)

I don't think so It's like I said, it's such a high failure rate business that to go to a bank and expect them to give you you have a better chance at jumping off an aircraft and surviving than being a first time restaurant tour and going to a bank and asking for money to open a new restaurant So you partner with somebody who has experience

[Speaker 3] (1:11:59 - 1:12:03)

and then you partner with somebody who has relevant experience and then you're able to do it

[Speaker 1] (1:12:03 - 1:12:23)

I think, like I said, I think initially, it's always better to be a little careful and frugal Don't go ahead and try and open a 5000 square foot, 200 seater restaurant Maybe start out today with a cloud kitchen or a small cafe You don't have to You don't have to I love cloud kitchens

[Speaker 2] (1:12:23 - 1:12:26)

Because you're using your existing infrastructure No I'm not, actually

[Speaker 1] (1:12:28 - 1:12:40)

Well actually I beg to differ on that But we actually Talk about cloud kitchens So we don't use any of our existing infrastructure at all, not even one restaurant Not even a single restaurant

[Speaker 4] (1:12:40 - 1:12:41)

Even the warehouses

[Speaker 1] (1:12:42 - 1:12:58)

So yeah, so exactly So you'll be surprised that we actually don't use it on purpose because at some point in time we might segregate the two businesses and as a result we cannot have that blurring of lines So we do not use existing infrastructure Separate cloud kitchens Absolutely separate cloud kitchens

[Speaker 3] (1:12:58 - 1:13:21)

I see Domino's Pizza really working I see Italian food starting to work in India Like it worked for garments when we sold western garment with western models like it did for Page and a bunch of different companies Selling a foreign product in India like a burger Is it working? Is it growing faster than a biryani for example?

[Speaker 1] (1:13:21 - 1:14:36)

No, consumption patterns are never going to be there but you have to understand that the competition and the number of players in that category are far more in biryani as opposed to burger So if you were to open a biryani brand say in southern India, Bangalore You have great local players that are these institutions And it transitions well to tier 2, tier 3? It transitions well You might have to tweak the pricing Don't think you can sell an 800 rupee burger Are there 800 rupee burgers in Louie Burger? There's one It's 3-4% of our sale So it doesn't sell much What is the cost of good typically on a burger?

Cost of producing the burger? So we're running at around 30-31% I would say Is that fair for all kinds of food? You should run at about 30%?

The rule of thumb says 30% But you can be lower Chinese food I've seen, you can come up with slightly lower Indian food, simply because of the quantity of chicken and the muscle protein that you have to use Typically higher in price And then of course Italian food would be higher as well because of the cheeses you have to import But you're getting great alternatives Every alternative

is available in India So Louie Burger, Boss Burger competition?

In a sense, yes Same markets? Same price point?

[Speaker 3] (1:14:36 - 1:15:02)

No I think Louie is higher Would Good Flippin also be a part of this? Good Flippin and Louie would be exact No, I think Good Flippin would be more on the Boss Burger Slightly lower I think it's higher If I were to build a burger brand There is Louie, there is Boss There's something called Burger Singh as well Indianized burgers All of this, how do I create a burger brand?

[Speaker 1] (1:15:03 - 1:15:40)

Well, you have to figure out the bun Is that the key? Not the sauce, not the protein Some of its parts Obviously, I'm making a simplistic joke out of it You've got to get the basics right Again, I'm getting into details The meat to bun ratio or the vegetable patty to bun ratio is incredibly important If you have a little dice or a little cutlet sized patty in the middle and the bun is falling all over People are not going to see value Indians are extremely value conscious So, I think a burger brand I think he meant something else I know, I know

[Speaker 2] (1:15:42 - 1:15:43)

Burger sizes are very important

[Speaker 1] (1:15:44 - 1:15:46)

Bun sizes are also important

[Speaker 2] (1:15:47 - 1:15:51)

Typically, a McDonald's burger would be a much smaller burger

[Speaker 1] (1:15:51 - 1:15:52)

It won't be filling

[Speaker 2] (1:15:52 - 1:15:58)

It would be a much smaller burger than what you would get at a Boss Burger or at a Louie Burger

[Speaker 1] (1:15:58 - 1:16:13)

So, Louie Burger is on its way The thing is that you could actually spend So, if a McDonald's burger costs 120 bucks, you'll actually need two to feel full, whereas at 250 bucks, a Louie Burger cheeseburger would be more filling Comparatively

[Speaker 3] (1:16:14 - 1:16:33)

And how do you decide where to open a burger joint or where to open a patisserie, for example?

I come from a different world, right? Is there an API of restaurants together where you can gather data of what is the demographic, what kind of client is buying, how much are they spending Is this data available?

[Speaker 2] (1:16:34 - 1:16:50)

This data is available with a lot of real estate consultants and they charge you money for it There are enough companies now which have very detailed demographic breakups on each Can you give us some examples? I will send you a link

[Speaker 1] (1:16:52 - 1:16:56)

JLL has given us much more focus

[Speaker 2] (1:16:56 - 1:16:57)

I don't even think that

[Speaker 1] (1:16:57 - 1:17:35)

data is really that up-to-date or accurate I think it's been extrapolated from a finite base of information I would not take a business decision based purely on a document given to me by JLL I would go with almost in an old-fashioned way I would go with my gut instinct for a physical space Geography is history The cloud kitchen geography is history So you don't really need to care about where you are, you need to be in a general area So if you know this area, CBD has a large demand of burgers, you'd open somewhere but you don't need to be on Church Street

[Speaker 3] (1:17:35 - 1:17:37)

But how do you know CBD has a large demand of burgers?

[Speaker 1] (1:17:38 - 1:17:44)

Zamato and Swiggy Zindabad Do they share data? Of demand, yes They will help you

[Speaker 2] (1:17:44 - 1:17:55)

They will tell you if they feel that there's a particular demand in a particular region which is underserved by that particular kind of cuisine then they will come in and inform

[Speaker 3] (1:17:55 - 1:18:04)

I also know of a new coffee chain that's trying to expand and grow and their mandate for real estate is just open next to a Starbucks

[Speaker 2] (1:18:08 - 1:19:04)

Actually, what is interesting is I personally feel that we tend to run and we tend to go after the same location and everybody wants to go there It is the locations which are underserved which has the aspiration, which has the spending power are the ones which will actually end up doing much better for you because you get them at better rentals You get a way more, you know, your pipeline is much bigger because those people are really, really underserved There are so many areas everywhere which are completely underserved but typical market intelligence will tell you okay, these are the areas you go I think that if you kind of use the demographic data that is available and you know you've done, you know what your customer looks like You know areas where they are and they are in abundance and there are no other restaurants to service Those are really, really good areas to go and set up shop

[Speaker 3] (1:19:04 - 1:19:14)

So if I don't have the means to afford this data through GLL or KPMG or real estate guys can I go sit in the competition and write down how many people are coming?

[Speaker 1] (1:19:14 - 1:21:04)

Absolutely. That's the best way to do it That is actually the best way to do it In fact markets change, they're dynamic in nature So a great market across the street could soon become irrelevant because you know, a highway is being constructed across the street or another cooler mall is coming up This has happened to me many times where I've been part of a restaurant Do malls work? Malls are doing fairly well But you know, here's the point I've done a lot of research on this Malls are good for incidental footfall but cost prohibitive and your margins in a standalone restaurant with lower incidental footfall your margins are going to be better than in a mall A mall is a lot of hidden things Marketing cost, parking cost Cam, the common area maintenance Obviously the rent, and the rent is on super area So if you have 500 square feet, depending on efficiency you could be paying for as much as for a thousand square feet although you're occupying 500 square foot carpet So it is good from a brand building perspective and it can make money but your EBITDA margins, which is the real margin that you look at would perhaps be better served not always, but in many cases in standalone sites and even better, here's the beauty of India in tier 2 and tier 3 cities Farzi Cafe is now in about 15 cities of India and we're actually seeing some of our best performing stores to be coming out of tier 2 and tier 3 they're beating Bombay Bangalore is the best example but it's obviously a metro tier 1 city but why does every brand every new brand, especially MNC open its first store in Bangalore The reason is simple it has got metro level purchasing power and a super sophisticated clientele with people from all over the country that are living in Bangalore they don't go home and cook they don't even

have gas connections most probably they go out and enjoy do you have data on how much people eat out city wise

[Speaker 2] (1:21:06 - 1:21:06)

yeah

[Speaker 1] (1:21:06 - 1:21:08)

it is there at a fairly granular level

[Speaker 3] (1:21:08 - 1:21:13)

so if it's across the nation 4 times a month or 1 time

[Speaker 2] (1:21:13 - 1:21:18)

8 times a month now twice a week in urban India in urban India 16 times

[Speaker 3] (1:21:18 - 1:21:24)

if the real estate cost of the city is higher and they have smaller homes they go out to eat more

[Speaker 1] (1:21:24 - 1:21:26)

so I'm guessing Bombay will be the highest

[Speaker 2] (1:21:26 - 1:21:27)

not necessarily

[Speaker 1] (1:21:27 - 1:22:25)

actually it's not Bombay has a high cost of living and it's there's still a whole bunch of different demographics involved for us in our system Bombay is not the number 1 city for revenue per square foot so the real metric you should look at is revenue per square foot so if you've got a 10,000 square foot restaurant and you're doing a crore a month it's different from doing 80 lakhs from a 5,000 square foot there's more efficiency in the smaller one so from that perspective I think for us revenue per square foot is coming highest in other cities not even Delhi, Bombay, Bangalore, Hyderabad Kolkata and it just shows the depth that this country has just look at the numbers 1 in 3 people today is either middle class or wealthier today by 2030 that number is going to become 1 in 2 a country with 1.5 billion means 750 million people will be middle class and able to afford the products that we're selling when does that change?

[Speaker 2] (1:22:25 - 1:22:27)

when does that ship go to dock?

[Speaker 1] (1:22:30 - 1:22:31)

2030

[Speaker 2] (1:22:33 - 1:22:35)

in 2010 that was 2022

[Speaker 3] (1:22:35 - 1:22:42)

they say density of restaurants in India is about 10% of China and 2% of US

[Speaker 2] (1:22:42 - 1:22:52)

exactly 10% you look at any chain which is here, the numbers you take that multiply that by 10 or 11 that many restaurants are there in China

[Speaker 3] (1:22:53 - 1:22:54)

sometimes even more than that

[Speaker 2] (1:22:55 - 1:23:09)

and real estate prices in China are far more affordable, spending power parity is higher so we have our challenges real estate prices in India are ridiculous the entire market I don't understand the market percentages are so high yields are so low

[Speaker 1] (1:23:09 - 1:23:37)

but I would assume the rental market is not so bad so I'll give an example 4-5% commercial?

no no 6% I'm looking at office spaces 6% you're talking about the yield to the owner even 4% residential will be 3% that's because the price is so high and your interest component is 8% so how is that making any sense?

[Speaker 2] (1:23:37 - 1:23:38)

rent don't buy

[Speaker 1] (1:23:38 - 1:24:25)

real estate rent for commercial activities such as restaurants is out of whack there is a market called Galleria in Gurgaon, where I live that restaurants per square foot cost, a restaurant if you take 500 square foot, is more than Connaught Place, more than Bandra, more than Colaba more

than Khan Market Khan Market was the most expensive, and it's in Gurgaon there are restaurants that I've signed within India that have lower that have a higher rent per square foot than my restaurant in the US or Canada or in Trafalgar Square in England can you imagine a restaurant in Delhi or Bombay that has cost you more per square foot than London but are you paying that rent because it's worth it

[Speaker 3] (1:24:25 - 1:24:28)

and you're getting that much food for it? I'm guessing it's a supply demand market

[Speaker 1] (1:24:28 - 1:25:06)

if nobody can make money out of that much real estate people would not be paying that much so firstly let me be very clear margins in overseas restaurants are either equal or a bit higher we had a session recently at one of the summits where it was me and two other restauranteurs who had restaurants overseas and all of them came to the conclusion that margins overseas can be either equal or higher and the main culprit is real estate occupancy cost and the lease, they're signing leases for 6-6 years, they're making you invest up to a million dollars in a restaurant and the thing will only last for 6 years there's no logic, whereas overseas it's 15-20 years

[Speaker 2] (1:25:06 - 1:25:06)

Right

[Speaker 3] (1:25:08 - 1:25:55)

So I'll give you my use case okay, so I had a thesis around restaurants and I started investing in a bunch of them broadly my thesis was if I were to pick up many independent restaurants, what is the word used here?

CDR Casual dining restaurants if I were to aggregate a bunch of them bring them together create one entity which has a few hundred of them my valuation that I get from the equity markets when I go to raise money will be a bridge or an arbitrage between the discrepancy of the 10 multiple that CDR is getting now and the 100 multiple that QSR is getting, do you think that makes sense?

[Speaker 1] (1:25:55 - 1:26:48)

Only if your potential investor will see scale in each of those entities that you've wrapped up into one So you're saying there is scale because you're transitioning well to tier 2, tier 3 You could look at it from that perspective but if a sophisticated investor would look at it they would probably say that you're as a whole, as some of a whole you definitely have this large scale and as a result in every city you could open each one of these 10 brands and have 10 restaurants per city, however I think a more sophisticated investor will look at the scalability of each of those 10 brands This is a model that could work again, you know, I think if you've got 10 brands that are in

the CDR space and affordable and they have scale potential, you could have many brands this is what we do, we have many brands

[Speaker 3] (1:26:48 - 1:26:49)

Phoenix is doing?

[Speaker 2] (1:26:50 - 1:28:06)

So basically the house of brands is a story see, the point is what 85% of the processes are the same for restauranting right, you negotiating the right lease, getting the licenses hiring training, setting up management information systems, HR licensing, all are the same, what changes is what's on the wall and what's on the menu right, that's 15% of the list, 85% is all the other stuff really that 15% is just the details, but we are seeing that India is is dining out a lot more, they are going to CDRs a lot more, the market is 4 times as big is growing at 20% whereas QSRs have kind of hit a road bump the only problem is that of course, because we are seeing people now, we are seeing people wanting a better quality of life a better quality of lifestyle the problem is there have not been any precedence and there have been too many dead bodies in the CDR space and there have been quite a few success stories in the QSR space, right, so the entire value chain now is singing this one song it's going to take one guy to come along, change the rules and then everything else will change

[Speaker 1] (1:28:06 - 1:28:11)

I think one person has already come, I think BBQ Nation is doing a damn good job of now getting multiples

[Speaker 2] (1:28:11 - 1:28:13)

they are not a house of brands

[Speaker 1] (1:28:14 - 1:28:49)

I'm talking about a CDR matching up to the scale potential of a QSR for example, I mean they also follow that process of choosing back and beyond kind of locations, but they have such brand pool that they are able to do crazy numbers and they are trading at many I mean, I know stock market goes up and down and they are trading at many multiples of sale and obviously at one point in time they were beating even the likes of certain QSRs on the stock market, that changes every day so don't Pooja for your category

[Speaker 3] (1:28:49 - 1:29:18)

let's say macaroons, desserts, all of that do you see scope in restaurants being built around that or do you think the cafe model is more the way to go restaurants focusing on desserts like there

are often times you would go to a restaurant, I go to certain places where I love the dessert and I eat the food because I can eat this at the end. What is the dessert contribution in your restaurants?

I don't think it's very high not very high

[Speaker 2] (1:29:18 - 1:29:19)

but that's my restaurant

[Speaker 3] (1:29:22 - 1:30:24)

it's different I mean look we had a we had a cafe I wouldn't call it a full-fledged restaurant but it was a cafe but 30% of our revenue did come from desserts, 30% came from food and the rest came from beverages coffee coffee is really growing right is that something you would consider it's a whole I think coffee and dessert is it's a marriage I would love to do it yes do you think this whole trend at least in the premium segment if premiumization is working like Riyaz said in the premium segment will grow faster this health, not eating sugar staying away from dessert do you think those things will become significantly bigger issues for someone like you? 100% that's something I'm actively working on as well and I'm seeing that from the last 13 years to today I don't know who it was but they told me that sugar is going to be the next tobacco

[Speaker 2] (1:30:25 - 1:30:34)

sugar already is the next tobacco Jamie Oliver said nobody stopped smoking cigarettes and nobody stopped eating dessert and that is what you have to remember

[Speaker 3] (1:30:34 - 1:30:37)

I am working on something that is going to be

[Speaker 2] (1:30:37 - 1:30:42)

it's a very low base right now health conscious people when people are going out, they are going out to indulge

[Speaker 3] (1:30:42 - 1:31:32)

I also feel like people want to think that they are eating healthier no one really can that ever truly work? can you replace sugar with monk fruit or stevia? you can and taste that good?

that's what we are attempting to do hopefully we get there by January so what is the healthier alternative? if I am a young it depends on what your everyone has a difference so for him it could be gluten for example for somebody else it could be sugar if I want to replace sugar with a healthier option which tastes just as good in your opinion what is it today? I mean see all of them

will spike your glucose levels right?

whether you take jaggery or you take he is talking about replacement so I am saying not glucose, non glucose non glucose sweetness so jaggery would not be an option stevia?

[Speaker 2] (1:31:34 - 1:31:35)

no?

[Speaker 3] (1:31:35 - 1:31:40)

monk fruit is the new super product monk fruit is great, I would use a lot of natural sugars why not stevia?

[Speaker 1] (1:31:40 - 1:31:59)

you had like a expression of disgust when I said that it's got a really bad aftertaste like metallic there is another problem with stevia the new study, the stabilizer used in stevia, the way we eat it is supposed to increase chances of stroke significantly like aspartame natural sugars right?

[Speaker 2] (1:31:59 - 1:32:37)

like fruit, dates, things that are more but that's just a glucose it's not a sugar replacement you are just changing the source and the mineral content of the glucose but then your options are all chemicals then only monk fruit I think for example it's a question of taste right? if you see how many people have transitioned from coke to diet coke seamlessly but people love the taste of diet coke the first 4-5 times you are like what is this taste but once you get into that kind of flavour then you stop noticing so it just becomes a thing I am going to drink diet coke now if I drink coke I am like what the hell is this

[Speaker 1] (1:32:37 - 1:32:38)

I don't even like it anymore

[Speaker 2] (1:32:38 - 1:32:43)

yeah but the point is that whole company has transitioned on this premise

[Speaker 3] (1:32:43 - 1:33:30)

what do you think the big opportunity is there? in your space if somebody were to be passionate about pastries like you are I would say for me especially because this is something that I struggle with a lot as well I think that for me I still when I don't want to eat sugar I still want to eat something that tastes quite similar but I am happier to eat something that is natural sugar so if it's sweetened with bananas or dates or apples it just feels like it's giving me a lot more than plain

white sugar so I think the opportunity is how can you make a cleaner indulgence which is not so the QSR industry in US for example is 50% in China is 20% in Korea is 30%

[Speaker 2] (1:33:30 - 1:33:31)

of that market

[Speaker 3] (1:33:32 - 1:33:37)

in India is just 3% UK you are saying is 50%

[Speaker 1] (1:33:37 - 1:33:37)

of the US

[Speaker 3] (1:33:37 - 1:33:58)

US I read this number that as much as 60% of overall consumption in the country is QSR of food? no just consumption overall consumption across the GDP?

across the consumption specter see most of the money people spend is on food right?

[Speaker 1] (1:33:58 - 1:34:19)

even in India consumption between groceries and eating out and delivery and all of this is a large part of consumption I think in the US the rent will probably be the biggest but you are right I think in terms of gross disposable income spent food would be highest, they don't cook at home they eat out more often than anybody except the Singaporeans so which way do you think India will go? India is at 3% do you think we will go the China way?

[Speaker 3] (1:34:20 - 1:34:37)

where there seems to be a balance of dining QSR all of that working QSR has only grown to 20% and stopped there I think that's a cultural difference you think India is more going to mimic China than America because culturally we are similar?

[Speaker 2] (1:34:37 - 1:35:25)

my vote goes to China look in America fast food works because it's labour arbitrage you go to a supermarket you buy the ingredients you chop it, you cook it you stir it, you plate it you wash the dishes after that it's going to cost you more than going to a QSR ordering that that burger, that fry, that shake it's going to be cheaper, faster, quicker in India it's not that yet, it's still cheaper to make food at home the labour or the labour arbitrage is still not considered that important there's always going to be somebody at home who's happy to cook for you who's going to happily clean the dishes for you so that price arbitrage is not there so the value seekers will continue

[Speaker 3] (1:35:25 - 1:35:28)

is that what could actually help your industry eventually?

[Speaker 2] (1:35:28 - 1:36:03)

if cost of labour goes up? it will go up because you see, right now one in four employable people are Indians in the world one out of six and a half is Indian one out of four in the world and somewhere the demand and supply is going to equalise we're anyway seeing a lot of strain on the labour market Canada has opened up its gateways they're taking in as many people the Middle East is taking in shiploads of people from India and I'm talking only about in the hospitals

[Speaker 3] (1:36:03 - 1:36:05)

that'll make it more expensive for you

[Speaker 2] (1:36:05 - 1:36:09)

it will get, so this demand supply gap is going to

[Speaker 3] (1:36:09 - 1:36:12)

how has the cost of labour gone up for you in your restaurants?

[Speaker 2] (1:36:12 - 1:36:41)

let's say over the last five years I think what has happened is we have look, you want to be south of 15% when it comes to your labour cost that is a broad level thumb rule so 30% cost of goods there are 35% cogs, right, you've got 15% labour, 15% rental 15% incidentals you want to make 20-25% marketing? about 3% or 4% is that all?

[Speaker 3] (1:36:42 - 1:37:15)

what is working in marketing? now I see Pooja is very active on social media what percentage of your clientele is coming in through social media and what is working? I'm guessing performance marketing in the manner that worked a few years ago with Facebook and Instagram ads and Google ads I don't think that works as well anymore no, so I think for me social media just started off as something that I was just doing because it felt very natural the phone was like the extension of my hand I was in the kitchen making a cake

[Speaker 2] (1:37:15 - 1:37:17)

you are a natural with that

[Speaker 3] (1:37:17 - 1:40:16)

real as I can but that's working more right? videos are working significantly more than pictures so what works?

give me two hacks what works now? you have 7 million followers where others do not what works now I don't know what worked for you? being in the right place at the right time describe that I knew that was going to come back and bite me you sow you reap elaborate there is one thing I have gotten from you also I will use it later I think it was a time when Instagram wasn't as big as it is today it was more organic and I just feel that I was in a space where I had a lot of customers who were very popular who are very popular and well known and have millions and millions of followers and I think it was also me sharing my whole experience about building love 15 I have always been honest did that help your personal story? yes 100% because people related to it right? people love a story so it was as much about you as it was about the picture of the food you were putting up exactly and I would be honest about it and what made your story interesting?

I don't know I think it was just a girl at that age doing something different following her passion a lot of people feel like did it come across on screen your passion? like when you spoke about food is that something that really worked? I think so I like to believe so and for me it was that right?

so two things that worked was one being in the right place at the right time and two just I think honestly I don't know I think you are cutting yourself a little short I think her content quality was one of the key things I didn't know that was content right? I was just doing it because I love doing it and I enjoy doing it I didn't realize that was creating content and you know I was just documenting my life and I'm talking about what a great day I had in the kitchen someone who is working with me what's happening this dinner stuff like that and it just became like a window into my life. Is there any agency you used anyone that helped you creating this content that other people can use?

No I just feel that when you I feel when you are authentic about your story and you do it yourself it's a lot it hits a lot deeper than if someone else is creating it for you even if some agency is building that content for you I think it should be driven the narrative should be driven by you That supersedes quality of video 100% and we see that right now like things that we post just randomly reels which are just like a half eaten something will do so much better than something that is orchestrated and created and it's a production I want to ask you a question actually

[Speaker 2] (1:40:16 - 1:40:17)

Finally

[Speaker 3] (1:40:17 - 1:41:03)

What do you look at when you said you've invested in certain restaurants and cafes and things what is it that you look at? Financials first at reasonable valuations I'm a stock market guy right like I look at public markets very closely so when I saw QSR chains getting the multiple that they

are while they are just franchisee models replicating a foreign product necessarily not innovative I don't think they deserve that valuation I don't think dine in restaurants deserve the low valuation they are getting as well because to be fair to them they are creating a more nuanced product than a QSR chain

[Speaker 2] (1:41:03 - 1:42:41)

I'll tell you something India is a market without precedent it is unique in many ways we spoke about consistency the whole point and you know I think a lot of QSRs have Tom Tom consistency perhaps because they don't want to tell you what is going into the patty or how much cheese is in the sauce that is not something that you want to be available for public consumption that's something you got and then you put the garb of consistency on it the fact remains is that flavor profiles change every 100 km we in Delhi we like red chili spice in Maharashtra we like our green chilies but we like our food little khatta meetha in Gujarat we like it a little sweet in the south of India we like black pepper spice and these are the flavors that we like and this is our biryanis the Karnataka biryani is different the Tamil biryani is different from the Hyderabadi you go to the mirchi ka salan and you are used to Bombay biryani with aloo Calcutta biryani with aloo so flavors change we are a country which eats differently we share things we don't order appetizer main course our own dessert we like to pick we like food fresh this is in a way your case against QSR it's not my case against QSR it's my case for India I think that you have to create products for India you have to create a product

[Speaker 3] (1:42:41 - 1:42:42)

which is more nuanced than a QSR

[Speaker 2] (1:42:42 - 1:43:40)

a product which understands India more culturally and even all the QSRs that have come in have at some point of time what they call innovation have had to Indianize and they are calling it innovation but the fact remains is that culturally we like to share things we like to share do we like to see a sandwich which has been lying there in the fridge for 4 hours necessarily we abhor it if a roti phulka comes one will come then another one will come we like our food really piping hot the coffee that you get we don't like that coffee so many times if you are doing gurme coffee you don't want to burn it you don't take it over 90 degrees but if you give an Indian a coffee which is less than 100 it's going to stand back here it's cold I'm not saying good bad ugly whatever I'm not judging but this is how we consume this is how we like our food

[Speaker 3] (1:43:40 - 1:43:51)

so to anyone building for India the nuanced India that you spoke about you're saying hit a micro market don't build anything generic that you think the entire country will like

[Speaker 2] (1:43:52 - 1:44:01)

no I'm saying that one will delight in all manifestations of this thing we by nature when we think about food we think about variety

[Speaker 3] (1:44:02 - 1:44:19)

give me a definitive tip that me as a 20 year old trying to start a restaurant I get that India is nuanced I get that people in South, West, East, North all like different things if I were to go about building a restaurant business how do I utilize that

[Speaker 2] (1:44:19 - 1:46:08)

definitely novelty will get you the attention but comfort will get you the repeat business and I think that's a significant difference between your cafe business and the restaurant business because in restaurants we're looking for novelty we're looking for elevation we're looking for experience in a cafe we're looking for community we're looking for convenience we're looking for comfort and their frequency as a use case is way higher if today I love his food I think one of you know some of the best Indian restaurants in India and in the world are from his table he gives best quality service best quality food, best quality value you know I treat like a king but tomorrow I'm going to be like yesterday we ate something else, let's eat Chinese today let's eat Korean today let's eat something else it varies so you will you will seek variety but in a in a cafe you're not going to say yesterday I went to Starbucks or this evening I had coffee it's something that you want to kind of reach out for automatically so there's a distinction between a cafe and a restaurant in that sense and there will always be a distinction between are you trying to sell a novel product which is a new new thing is it a custard filled cruffin or am I giving you a motichor laddu which is going to last forever or am I taking a motichor laddu and making it into caviar and I think there's a market for it all because we seek it by nature, we seek it, we are comfortable with 4 mobile phone providers, we are comfortable with 20 shirt makers we are comfortable with 30 watchmakers but when it comes to food we want thousands and thousands of restaurants and that's the way it is

[Speaker 3] (1:46:10 - 1:46:22)

interesting, so the unorganized sector in India is disproportionately large compared to the US, China, Europe if we were to, I don't have the exact numbers for this, 65

[Speaker 2] (1:46:22 - 1:46:25)

or 35, 65 unorganized, 65 unorganized

[Speaker 3] (1:46:25 - 1:46:34)

and we are assuming the industry put together is between 50 to 100 billion dollars, we couldn't find the exact number because it's hard to get so about

[Speaker 1] (1:46:37 - 1:46:48)

40, 50 to 55, 50 50 billion as well and it's growing compounded annually at 20%, 21% so what is the big opportunity when

[Speaker 3] (1:46:48 - 1:46:55)

unorganized transitions to organized I think which will happen inevitably

[Speaker 2] (1:46:55 - 1:47:38)

organized is growing at a much faster rate than unorganized unorganized is also growing but organized is growing faster we are seeing movement towards brands established brands, reputed but again what is a brand you know in Bombay, Sardar Pav Bhaji started off with Thela now is a brand Kirti College Vada Pav is still roadside food but is also a brand so I think that people are wanting to move towards brands because they don't want to risk that investment that they are doing in a bad quality product

[Speaker 3] (1:47:38 - 1:47:43)

yeah, it's just questions to remind me sorry, please continue

[Speaker 2] (1:47:43 - 1:47:46)

and do you think

[Speaker 3] (1:47:46 - 1:47:48)

quality is a big factor playing into

[Speaker 1] (1:47:48 - 1:48:36)

why people go for a brand because people are unsure of what food there might be I think it plays a massive role in the perception of quality is perhaps one major parameter that you have to tick off before you choose which place to patronize convenience is I think perhaps an equally big factor how easily you can get to it how easily you can park there what kind of options does it serve, can my whole family be served Indians eat out in families, we don't just go husband and wife, we go with husband, wife kids, sometimes grandparents, sometimes parents so they won't change that's what multi cuisine does so well in India Dada Dadi can eat can that ever truly work Zoravar

[Speaker 3] (1:48:36 - 1:48:43)

like if I had a restaurant where I do Chinese, Tandoori, Japanese, Indian and something else, can I do justice to any of that?

[Speaker 1] (1:48:43 - 1:50:18)

you can't so here's the thing the market has proven that it works so financially it's going to work I get annoyed each time I see that you can't have a speciality restaurant that excels in everything, in the same kitchen if you've got, you can't have really the very best of Indian food and then you know you suddenly have the very best of Japanese food because you have one chef right? no no, there are departments there are sections within every kitchen every section has its own chef but if I'm making garam masala here, can I be making sushi on the side? and well people are doing it can they do it well?

it can be done to a competent level I don't think it can be done as well as say a restaurant specializing in sushi, will you get as good as sushi at, you know for example, believe it or not, Haldiram's gives sushi, okay and will it be as good as say a papaya or a yau cha or, sorry yau cha doesn't do sushi but like a coco you probably will see a difference but the market is what dictates what you serve and multi-cuisine even though it's something that forms a very small part of my system I think has made its space. Indians go out in families, dada is eating something else children are eating something else the husband and wife are eating something else but can a speciality restaurant perhaps produce a higher quality food experience?

a speciality restaurant will probably create a higher quality experience for sure

[Speaker 2] (1:50:18 - 1:50:29)

it can, it's not impossible if you think about, like you think of a hotel let's say take a hotel which has exceptional cuisine and there are hotels like that, it's all handled by one chef

[Speaker 1] (1:50:31 - 1:50:36)

actually a hotel has different disciplines, every kitchen would have its own chef

[Speaker 2] (1:50:36 - 1:51:08)

yes but you have one executive chef for the whole hotel you have special but they all report to one chef what I was trying to say is that I think the context in which you're consuming food is also very very important I mean, you can if you're consuming Japanese then to have food in that kind of context adds value to it if you're eating Empire Kebabs at that particular point of time, being in that area or sitting in your car adds context to it

[Speaker 1] (1:51:08 - 1:51:41)

how big is ambience? I think it's I was the kind of guy who 10 years ago would say to you that food is number one priority and everything else revolves around it, so you can't eat the painting you can't eat the floor, you can't eat the beautiful sculpture that you got but you can't eat the food on the plate over the years I will have to accept that ambience perhaps plays an equally

important role because it changes the way how you feel but to each their own, I am the kind of person who will go and hunt for a food spot even in by lanes, my favorite restaurant

[Speaker 2] (1:51:42 - 1:51:44)

sometimes you look for ambience

[Speaker 1] (1:51:44 - 1:51:46)

I personally would not

[Speaker 2] (1:51:46 - 1:51:49)

I personally would not some days you would look for

[Speaker 1] (1:51:49 - 1:52:16)

and the culture that I'm trying to build within our specific company is that you strike a balance, so the food has to be the main stay but if it looks good, it feels good, people have gone into this show off situation, if you look at Dubai Dubai has some of the greatest restaurants now but Dubai first started becoming a city where the look and feel was perhaps more important than what was being served some of the best restaurants were not doing as well as the ones that looked great it has to be a balance, it has to be a combination

[Speaker 3] (1:52:16 - 1:52:27)

can I ask a parallel question why does food in India never taste at par with the best restaurants of Dubai London and stuff, is it ingredients which are not available

[Speaker 1] (1:52:28 - 1:52:42)

honestly I think in many cases Indian food tastes better I'm not talking about Indian food in particular I mean food in India tastes better I can tell you that a macaron that she makes is not going to be much different in fact even maybe superior

[Speaker 3] (1:52:42 - 1:52:48)

if Pooja was in France she was in Paris, the access to ingredients she would have would be better

[Speaker 1] (1:52:48 - 1:52:59)

a macaron in Paris would taste better than a macaron in India the kind of almond you would choose and stuff like that I'll give you an example why are those ingredients not available in India

[Speaker 3] (1:52:59 - 1:53:18)

is it because the customer will not pay the price to warrant it? In some cases yes, they are prohibited the whole supply chain, by the time you get the ingredients here by the time it reaches you but I wondered we grow all that they grow there, here as well why is that so much better quality

[Speaker 1] (1:53:18 - 1:53:24)

but I don't think it is better I think it's Pooja disagrees

[Speaker 2] (1:53:24 - 1:53:56)

can I say something, basically if we take the same standard recipe and we take it to Delhi it will taste much better in Delhi compared to Bangalore but if I bring it to Bombay from Bangalore to me, it will taste better because the quality of ingredients available is there also, there is no artisan pride right now in our agricultural economy there is no guy who is massaging the feet of their cattle or their livestock but I think that's changing

[Speaker 1] (1:53:57 - 1:54:00)

Akshay Kanta, Farmiza a lot of artisan farmer markets

[Speaker 2] (1:54:00 - 1:54:48)

I think there is some really good stuff it's going, but look at the base it's operating and I'm talking about, look at the larger ecosystem, I mean you don't want to get a beautiful loki right now artisan pride, because people don't get rewarded for that, they are, right now they are the way the entire agricultural value chain is set it is the MBAs who are going you know, and going back to the villages, buying land deploying scientific methods, and they're coming up with all these beautiful things, yes but the larger ecosystem, which is the mandi system, where you know, it's a commodity system, they are not being rewarded for artisanal products, they're not they are more concerned with keeping their crop alive, than making sure, they are not going to risk their you know, their belly hand to mouth, they cannot afford to take chances with their crops.

[Speaker 3] (1:54:48 - 1:54:56)

I think the question is to you guys, like, would you buy if you get artisanal produce at three times the cost of current produce?

[Speaker 2] (1:54:56 - 1:55:02)

Why would artisanal produce cost three times? Okay, one and a half times but why would organic cost more than inorganic?

[Speaker 3] (1:55:03 - 1:55:10)

I'm guessing artisanal can't be mass produced. So yield, simple thing is yield, is the yield dictates that. I think the chemicals increase yield, right?

[Speaker 2] (1:55:10 - 1:55:31)

Yeah, that's right. GMO may increase yield but the cost of producing something is actually cheaper with organic than it is with inorganic. We've done a lot of work on this one, we've gone deep into provenance, we've had four provenance officers going in understanding the product.

[Speaker 3] (1:55:32 - 1:55:35)

Is what we get in India called organic, actually organic?

[Speaker 2] (1:55:36 - 1:56:24)

So one is the fact that it is, well you could, you could go back like four years ago, was there any pesticides used? So I mean it's still murky, it's still transitioning but again another thing is that when you're importing things, right, India is an agricultural economy. So the tariffs and excise is prohibitive for anything excessive.

For example if you were to import coffee beans, and I think Starbucks pays its share, it's 180% duty on coffee. It's more than what you'd pay for a car because you're protecting your agricultural economy. So on one hand you cannot import quality ingredients, on the other hand there is no artisanal pride or a system that rewards artisanal agriculture.

And then this Mandi system where there is no provenance or accountability for what you're really producing.

[Speaker 3] (1:56:25 - 1:57:52)

I think if I have to just look at it from a dessert lens 14 years ago, it was so difficult to find local ingredients right? You had to use imported chocolate you had to use everything imported to get that same quality and consistency but today 14 years later you get great Indian chocolate we use as much local ingredients as we can. Some things we still have to use that are imported, but that change is happening.

So I would say that it's... But today if you had to produce the quality of macaroon you did at college in Paris, in India, how much more would it cost? I think we're pretty much at par because we use the almond flour we use etc.

But if you were to bring it from there and make it or if you were to go there and make it I would be selling it I would be selling it for 300 bucks a macaroon But importing it here is Do you think there is a market at 300? I mean Laduree exists in India so 300? I think the question I'm trying to get to is that if you guys were to scatter one or two restaurants which are ultra premium in terms of

produce and quality, is there a market?

Like you charge 5 times more than what you charge for a dish today. Yeah Then why are you not attempting it? We're already quite premium so I know, but if there is a market there at 300 rupees a macaroon, why are you not attempting it?

[Speaker 1] (1:57:53 - 1:59:50)

We did try with Louis Burger with the 888 rupee burger with real truffles, real black truffles shavings, worked very well at one point in time it was 10% of our sales it was a huge market but then it is a delivery burger at the end of the day and no matter what kind of packaging you put around it, it's hard to sell a almost 900 rupee burger to somebody at home but I think there's a huge market for the ultra fine dine there are wonderful restaurants but is that scalable? No it's not, it's not scalable Masala Library for example is a restaurant that I have I have one in Bombay another one opening in Delhi and then I have one in Doha in Qatar these are all premium restaurants, the price per head is 3-4 thousand rupees per head with liquor they're not scalable but here I can afford to buy the high end produce I can afford to buy the high end ingredients and I can afford to buy the really high quality stuff so I can afford to buy those high quality ingredients because I can sell them at a higher price so some of these things definitely do come into play but there's a limited market can you buy the same tomato or the same vegetable at a price that is three times because of it being organic and again I think it's a yield issue in all say all Farzi cafes it'll probably increase the price so there is a market for everything I think but yes at this point in time India is not a very rich country, we cannot be delusional we still have a per capita income of under 4 thousand dollars and we still have 15% of the population currently below the poverty line at least by latest estimates I think the number is a little bit higher but India as a market from a food perspective from a consumer perspective is going to be the biggest the third biggest consumer market in the world by 2030 after the US and China

[Speaker 2] (1:59:50 - 1:59:54)

every time Zorava speaks I see a flag flying over his head

[Speaker 1] (1:59:54 - 2:00:09)

I am extremely patriotic and I also believe in the future of this country I think this is going to be in fact the world's largest consumer market because of the simple rate of growth of our population by 2050 should we take like a tiny break

[Speaker 4] (2:00:09 - 2:00:28)

this is the

[Speaker 3] (2:00:28 - 2:00:28)

fancy one

[Speaker 2] (2:00:28 - 2:00:33)

I can't wait to have the Louie Burger man that looks amazing

[Speaker 3] (2:00:36 - 2:00:43)

ok guys ready start what do you guys think of celebrity owned restaurants

[Speaker 1] (2:00:44 - 2:00:47)

they have never worked really

[Speaker 2] (2:00:48 - 2:00:49)

very good

[Speaker 1] (2:00:49 - 2:01:24)

you know the only country in which you like it the only country in which a celebrity slash sports star run restaurant is the most popular Sri Lanka because their celebrities are the cricketers and every other country in the world you can take planet Hollywood ok it had Arnold Schwarzenegger and Sylvester Stallone as the founders so many I am not going to take individual restaurants numbers if you look at even within India sports stars have owned restaurants Virat Kohli Zaheer Khan

[Speaker 4] (2:01:25 - 2:01:26)

Sachin Tendulkar

[Speaker 1] (2:01:27 - 2:01:32)

One it might be an exception that is doing well in certain areas I am just saying in general they don't tend to

[Speaker 3] (2:01:32 - 2:01:33)

what are the other celebrity owned

[Speaker 2] (2:01:34 - 2:01:37)

all of your restaurants all of ours

[Speaker 1] (2:01:38 - 2:01:40)

so I think people see through it

[Speaker 2] (2:01:40 - 2:01:46)

come on by the way the most successful Japanese should be a celebrity for owning a restaurant

[Speaker 1] (2:01:46 - 2:01:47)

huh

[Speaker 2] (2:01:47 - 2:01:49)

you are a celebrity for owning a restaurant

[Speaker 1] (2:01:49 - 2:02:27)

that's true we are definitely eternal optimists for owning a restaurant so I think the only restaurant that is celebrity owned that is a worldwide phenomenon and is extremely successful is believe it or not Nobu partially owned by Robert De Niro in fact the first original investor when chef Nobu didn't have the money so that's trivia for you but yeah in general I think people go to restaurants for the overall experience celebrity can probably pull you in for the launch can probably pull you in for hosting the right tables getting initially the buzz going that buzz will last as much as the first or second visit after that the quality of the product has to speak

[Speaker 3] (2:02:28 - 2:02:34)

and restaurants which do these big launches they call 500 people give them free food and all of that does that work

[Speaker 1] (2:02:35 - 2:02:40)

do you guys do that I do it I think we all do it I don't know we definitely done that

[Speaker 3] (2:02:40 - 2:02:42)

is that for your entertainment or is it for the restaurant

[Speaker 2] (2:02:44 - 2:02:45)

we don't enjoy partying

[Speaker 1] (2:02:45 - 2:02:47)

do you know how much money it costs

[Speaker 2] (2:02:48 - 2:03:11)

we don't enjoy that we are bored to death of it the point is that you need to have a good launch

you need to have open up your social media and see pictures of your favourite influencers it creates it does create FOMO it does create urgency it does create we need to go here

[Speaker 1] (2:03:11 - 2:03:51)

do you pay these people who come to attend hosting sometimes hosting so I'll tell you you get to launch only once you get to launch only once and if you don't make a big enough buzz you probably will have a slower more tepid kind of a pick up so I think that's not necessarily good especially with the high stakes games that the restaurants are definitely paying people to come no way you often have PR companies that help you with it and agencies that help you with it so the payment should be restricted to that not celebrities coming in it's not going to help you it's definitely not going to help people come back

[Speaker 2] (2:03:51 - 2:03:52)

but models

[Speaker 1] (2:03:54 - 2:04:03)

models are not paid they're just given in kind with free liquor and food Riyaz might have other ways of recovering in kind or paying in kind

[Speaker 2] (2:04:03 - 2:04:08)

what about aggregator

[Speaker 3] (2:04:08 - 2:04:25)

relationships? Riyaz will take this I heard like you guys are very pally with them and somebody's not paying them anything and all of that no that's not true please make me meet that person and let me get access to that but maybe you're paying 10% whereas everyone else is paying 30% who is this?

[Speaker 1] (2:04:25 - 2:04:39)

nobody's paying 10% I think as far as I know they might be if you do exclusivity they might give you a lower percentage so first of all let's be honest there are lots of differential pricing which is available how do you negotiate it?

[Speaker 2] (2:04:41 - 2:05:13)

you negotiate it is it scale alone? see I think the guys who signed up at a particular price point in the early days they started off with 10% they went to 12% they went to 14% and right now it is at a I think there's only sustainable delivery commission that is payable is 12% you can't pay a single rupee more than that however now the norm is 24 to 28% they are signing up people at 24

[Speaker 1] (2:05:13 - 2:05:16)

and 28% but Riyaz when you say 12% you mean including the other costs because

[Speaker 2] (2:05:16 - 2:06:19)

if you add the gateway no no I'm only talking about delivery this is a triple D model you've not just got your delivery cost you've got your discovery cost which means that you're paying to be visible in a carousel you're paying to be visible in one of those collections I think that they would easily spend about 12% more on that so you're looking at now 40% which has gone to the aggregate on top of that your average discounting is at 14 to 15% so if you don't discount customers don't come to you that is the way it has been gained. So how does this work?

55% of your margins are taken by the aggregators and they can't make money and you don't I'm telling you you would live with 45% to get COGS, packaging, marketing which is non app related marketing and you got to build your brand you got to do non app related stuff your rentals your salaries but why are people going to aggregators? because there's no

[Speaker 1] (2:06:19 - 2:06:44)

other alternative if you build your own fleet the cost would be prohibitive there would be a risk associated with managing the manpower various things and the ease of the consumer the consumer is so used to using those apps it's very hard so sometimes we try and obviously we don't get data from the aggregators we want to collect that data so we offer bigger discounts to try and get that customer to order directly and yet the adoption rates are fairly low

[Speaker 3] (2:06:44 - 2:06:47)

in a pre-aggregator world how did all this work?

[Speaker 1] (2:06:47 - 2:08:09)

we were doing it ourselves you're delivering yourself and that was a small business they definitely have built the business but I think the margins are not sustainable so when he said 12% it's actually not 12% it's more than that it's 12% plus payment gateway which you have to pay anyway 2% plus GST but you're talking about including taxes because the GST is another big problem for us right? the 12 becomes like 16 and that's where your margins get completely constrained and they then say to build relevance the term used you have to spend more money so I think the platforms have definitely built this huge market and this ecosystem and made Indians fall in love with delivery made it very easy to get it convenient and convenience will always win so there's no point of it's going to be an uphill battle to try and build your own system if a lot of restaurants top delivery partners sorry top restaurant partners get together and build their own system might potentially work individually it'll be hard to address it and it won't make sense

because adoption rates will be solo and the amount of money you'll have to spend to get those people to come to your app or your landing page and order it's going to be it's going to be trickling can't like a bunch of you get together because you guys have such broad chains

[Speaker 3] (2:08:09 - 2:08:14)

and create your own like a cooperative of restaurants running their own delivery

[Speaker 1] (2:08:14 - 2:08:17)

Riyaz should address this

[Speaker 2] (2:08:19 - 2:09:28)

it's going to become increasingly critical that we have a counterpoint we are developing and working very closely with ONDC now we are going to build channels we are going to start building competencies because we have nothing against aggregators we appreciate that they have actually helped build a demand which is not competing with the restaurant business the delivery business is competing with the kitchen is not competing with restaurant but while they've done that they've taken away any hope of margins so we are all running just to stay in the same place so we are going to focus on ONDC we are going to focus on our own delivery fleet slowly by slowly we are going to develop technology stacks that are going to help us do this better and like I said we have nothing against the aggregator but what we are against is the tyranny of the aggregator where things are unilaterally changed where if you don't play by the book you are taken off the platform or your delivery radius drops or your visibility is there or you are just not available for customers to see and does

[Speaker 3] (2:09:28 - 2:09:31)

everybody feel this way across restaurants predominantly?

[Speaker 2] (2:09:31 - 2:09:32)

Majority. I do.

[Speaker 3] (2:09:33 - 2:09:49)

It's also interesting because in my office for example right there are all these 23-24 year olds and they order food everyday lunches coming from Zomato or Swiggy and it's never about the brand that they've ordered from it's like what's the best deal I got today and that's what the customers now used to.

[Speaker 2] (2:09:49 - 2:09:51)

They've made deal seekers out of customers.

[Speaker 1] (2:09:53 - 2:10:05)

It's like an addiction. Discounting has become an addiction and that's never a good thing whenever you build an entire system based on giving discounts eventually the consumer suffers. Eventually.

[Speaker 2] (2:10:05 - 2:10:09)

It's at the cost of profitability it's growth at the cost of profit.

[Speaker 1] (2:10:09 - 2:10:32)

And also sometimes I feel that the funding of that discount is being done by the restaurant at the cost of the restaurant so I think there has to be some kind of dialogue that needs to increase and I think that's happening. I think both sides are willing to talk and liaise with each other in a positive proactive manner. Worldwide you've seen this happen where eventually it becomes an ecosystem that's a win-win.

So let's hope for that.

[Speaker 3] (2:10:33 - 2:10:39)

But if they're not able to be profitable at their current margins how will they be at one third?

[Speaker 2] (2:10:39 - 2:10:41)

Maybe they should stop buying rubbish companies.

[Speaker 3] (2:10:45 - 2:10:59)

If I were to be an investor in Zomato which is a publicly listed stock should this make me worried? If all restaurants are thinking this way including our pastry chef it's going to take some time.

[Speaker 2] (2:11:00 - 2:12:09)

They have adjusted a bit thus too. I think they definitely are a duopoly. This is definitely a growing market.

And what they have seen is that for every 5000 restaurants that come off their platform every week they get another 6000 restaurants coming in their step. They don't care. They are agnostic to the fate of the restaurant.

They are only building the habit forming activity. They are building the use case. Which is great.

The problem is that what is happening to those guys who are putting up their investments or quitting their jobs taking all their life savings and putting that into a business because it's a

business that you can set up in 6 lakhs. The average guy who set up a kitchen getting into the restaurant industry, the first time entrepreneur doesn't have the sophisticated marketing techniques where you can push those products out. He is completely dependent on visibility that comes from those platforms.

But the system will go on the discounting will go on.

[Speaker 1] (2:12:10 - 2:12:30)

I don't have a very dystopian view of the future. I think in the future there will be some form of coherence and rationality being built in. That would mean both parties would need to address situations.

I really think that commissions need to be addressed. And I really think that data sharing should become something that starts happening.

[Speaker 3] (2:12:30 - 2:12:31)

They don't share any data na?

[Speaker 1] (2:12:32 - 2:12:35)

Not customer data. There is enough data being shared.

[Speaker 3] (2:12:35 - 2:12:44)

If I order from say a masala library and I get the food I order via Swiggy, Zomato or any other aggregator. You don't know who ordered?

[Speaker 1] (2:12:45 - 2:12:52)

I don't know who you are. And obviously there are ways you can put a little pamphlet that if you have a problem call us and all that. But that doesn't really work.

But they wouldn't like that right?

[Speaker 2] (2:12:53 - 2:12:58)

They actively go through your packages and remove any such literature.

[Speaker 1] (2:12:58 - 2:13:42)

The problem is the consumer will still choose to go on Zomato or Swiggy and order from you. That's the problem. It's not necessarily a problem.

It's a convenience issue. If I have an account like I have Swiggy and Zomato on my account to be

honest and I'm in the delivery business extensively but I've not built my fleet and I don't really intend to build it immediately till I have a sense that this money can be recovered. I just think it has to become more of a win-win and a hand in glove scenario where we're not against each other we're working with each other.

But why would you want to build a fleet individually when you can get a cluster fleet? That's exactly my point. You mean when some of us get together?

You would want Riyaz, you would want Pooja, you would want a hundred others.

[Speaker 2] (2:13:44 - 2:13:45)

That's an alternative.

[Speaker 3] (2:13:45 - 2:13:46)

Do you guys use Thrive?

[Speaker 2] (2:13:47 - 2:13:59)

I use .pay. But yeah, Thrive is another good mechanism. And you can have pinging services from a plethora of people which will tell you where to go, how to go. You can even give tracking services.

[Speaker 3] (2:14:00 - 2:14:00)

It's all available.

[Speaker 2] (2:14:00 - 2:14:32)

But the discovery element is better on these platforms. When you know, when you have the loyalty, when you know exactly what you want there's a use case to go to your app. Because now you can do it on WhatsApp.

You've got catalogs available, you can call. If you don't want the hassle, you want the convenience, all that data stack is available to you on Riyaz's platform. But the discovery component and the discounting component, that is the catnip that people are coming back for.

[Speaker 3] (2:14:32 - 2:14:48)

But how can they ever discount in a manner that you, the originator of the product can discount? They can never compete with that, right? Like if you built a platform yourself to deliver, your cost price is 30, you can sell it 30, but an aggregator can never discount as much as you, right?

[Speaker 2] (2:14:48 - 2:15:23)

It's taken years of taking hits on the bottom line and being, and sustaining that to be able to get to that critical mass where now your delivery guy is you know, his salary is paying for WhatsApp and paying for it more. This is basically a fixed cost versus a variable cost model, right? Restaurants don't have those deep pockets, they don't even have those margins where they can afford to pay for those things.

So it is a little bit of a loop, but eventually I think that there will be some way out of this.

[Speaker 3] (2:15:23 - 2:15:34)

Is that the same for you, Pooja? With desserts and muffins and macaroons and everything? I mean, the good thing is we have higher margins, so What margins do you operate on?

[Speaker 1] (2:15:34 - 2:15:35)

18-20%.

[Speaker 4] (2:15:37 - 2:15:38)

20 and 30.

[Speaker 2] (2:15:39 - 2:15:46)

18-20% is the best. What name should I make the checkout? That's pretty good.

[Speaker 3] (2:15:47 - 2:15:47)

Yeah.

[Speaker 1] (2:15:49 - 2:15:51)

And that's despite using the best ingredients.

[Speaker 3] (2:15:53 - 2:16:14)

But now I'm going to take this 300 rupee macaroon idea. Yeah. I'm going to do it.

You should. Put gold on it. Yeah.

So is there a tip like if I'm a new restauranteur and I'm going to Swiggy and Zomato, I know it's ridiculously, obnoxiously high the margin for whatever reason, market fundamentals. How do I negotiate?

[Speaker 2] (2:16:24 - 2:17:02)

The only way of doing this is to have a really, really strong product. Tell the aggregators to sit on

it. Just do your business.

Create a great demand. Create a great thing. They will come to you.

And they will do it at your price. Can't you play one against the other? You can, but again, if you're also a brand product, if you have a very, very solid product, which has great recall, which has a following, which is becoming, you know, very, very trendy, people are reaching out and want that.

If you're not on that, that's something that they will come to you and say, okay, we want you exclusively. Then you can start playing.

[Speaker 3] (2:17:02 - 2:17:11)

Why can't you tell Swiggy, if you crack a deal with Swiggy at 15%, and tell Zomato, unless you do 12%, I'll only sell on Swiggy. Why wouldn't that work?

[Speaker 1] (2:17:13 - 2:17:27)

I think people have tried that and I don't think it's going to work throughout. So they've also wisened up to that. But I think more importantly, Do they work together?

Do they collude? No, they don't. What?

They don't. They don't even hire from each other, from what I know. Neither do we.

We're still better off.

[Speaker 2] (2:17:27 - 2:17:28)

Our relationship is, we're not a duopoly.

[Speaker 1] (2:17:29 - 2:18:16)

We're a multi-multi-opoly. So I think there are institutions, for example, you have Truffles in Bangalore. They can demand whatever rates they can because they're an institution.

They're a legendary restaurant. A regular burger joint cannot do that. One way that I would recommend to people, that if they're in a certain geography, is that you could go the route of being exclusive.

If you offer that, there is a potential of asking for lower percentages because you're in a way alleviating the ability of that restaurant to be sold, that brand to be sold on another platform. That is one way. I don't think you can play people against each other.

And that's not going to work. But I also think it's, what we're doing is also working with Swiggy to

create products.

[Speaker 3] (2:18:18 - 2:18:29)

That fill a need. Yeah, because they come to us and they say, okay, these are the products that are really working. We only have one person, Instamart especially.

We only have one person doing this. If you can create this, I know that I can occupy this.

[Speaker 2] (2:18:29 - 2:18:36)

Where there's scarcity, where there's a demand supply imbalance, they're really, really quick to try and fill up those gaps.

[Speaker 3] (2:18:36 - 2:18:39)

I've tried the ONDC app. What is it called? Magic Pin or whatever.

[Speaker 1] (2:18:39 - 2:19:31)

That brings your cost down from 20 change percent to 4-5 percent, right? What is the issue with it right now? So ONDC is definitely a very, it's a democratization and a commoditization of delivery.

Now here's the beauty. There are enough third-party aggregators that can responsibly and effectively take your product from your cloud kitchen or your restaurant to the end user. There are enough of them now.

They, however, perhaps are not as seamless. Because Magic Pin or Paytm, who have these seller apps on ONDC, are still relying on these third-party people. They're not employees of Magic Pin or employees of Paytm.

They're third-party delivery people. So that extra charge is there, but the way to circumvent that is to be able to charge the consumer a fee. And I think the fee for three kilometers is 50 rupees.

So if you're within three kilometers, you charge 50, it's a little bit more, charge 70. I think people, the advantage is because…

[Speaker 2] (2:19:31 - 2:20:00)

The delivery prices are coming down. The cost of delivery is coming down. That's my point.

Right now, the cost, the actual hard cog of delivery is at 22 rupees. 22 rupees what? 22 rupees is the cost of delivery.

For what distance? It's what you will pay your guy. It's your average distance of 5 kilometers.

22 rupees is your cost.

[Speaker 1] (2:20:00 - 2:20:01)

Per kilometer? What are you saying?

[Speaker 2] (2:20:01 - 2:20:06)

22 rupees is your cost of delivery for that package and come back.

[Speaker 1] (2:20:06 - 2:20:08)

But there's a distance to it, right?

[Speaker 2] (2:20:08 - 2:20:58)

If it's 100 kilometers away, you can't… 5 kilometers is 22 rupees. The problem which is happening is that ONDC is coming to sell apps.

And that's only as good as the fact that how MagicPin is doing, right? The point is that ONDC, once we start creating our own software on ONDC, and we start working regional-wise where we start sharpening our delivery capabilities or what is called online, on-demand delivery, right? Because that's what these guys have really cracked.

It's on-demand delivery. Danso is very good, Shadowfax is very good at delivery, last mile delivery but not necessarily on-demand. The trick is to get the meal into their hands in 15 minutes or less.

After it leaves from the kitchen, it has to be able to get to that person.

[Speaker 1] (2:20:58 - 2:21:04)

But that will happen with scale. Right. Incredible innovation though, right?

ONDC. It's beautiful. It's a democratization.

Yeah.

[Speaker 2] (2:21:04 - 2:21:09)

The beauty of the Indian tech stack is just amazing. It is fascinating.

[Speaker 3] (2:21:09 - 2:21:14)

He's a friend of mine, Nandan, who's kind of like worked around a lot of these.

[Speaker 2] (2:21:14 - 2:21:15)

CTO of India.

[Speaker 3] (2:21:15 - 2:21:16)

Incredible.

[Speaker 1] (2:21:16 - 2:21:17)

CTO of India, literally.

[Speaker 3] (2:21:17 - 2:21:23)

Incredible human being. And also like keeps the ecosystem together.

[Speaker 2] (2:21:23 - 2:21:24)

Aadhaar was also his?

[Speaker 1] (2:21:24 - 2:21:25)

Aadhaar was his brainchild?

[Speaker 3] (2:21:26 - 2:21:31)

So he has a dinner once in a month at home and he makes sure we all catch up and it's an ecosystem. Fabulous.

[Speaker 1] (2:21:32 - 2:21:46)

He's a true Indian. He's a true guy who cares about this country. About making this country more technically savvy and a world leader.

[Speaker 3] (2:21:46 - 2:22:03)

And his wife, like very few people know Rohini, but she does so much work in climate and water and incredibly driven couple. And their daughter and their entire family. Cloud kitchens, do they work?

Riyaz had a very strong reaction.

[Speaker 2] (2:22:03 - 2:22:04)

We have totally different.

[Speaker 3] (2:22:05 - 2:22:06)

That's interesting.

[Speaker 2] (2:22:06 - 2:23:02)

Cloud kitchens work for either you are a very strong brand that you've built over the years. You come from a certain pedigree and have the sophistication enough to understand sophisticated marketing tools and CRM and to be data driven and analytically driven. It's very very difficult for the average.

If you think mortality rates in the restaurant businesses are high, the mortality rates in the cloud kitchen business are twice as high. Because the data which we've seen, restaurants a month are going off platforms. That's 5000 broken dreams every month.

And they're just going off because how will you manage when 55% of your margin has been taken by Push come to shove, things stay as they are today.

[Speaker 3] (2:23:02 - 2:23:06)

Will you build your own fleet? Will you have to build your own?

[Speaker 1] (2:23:07 - 2:23:25)

I think it's good to have a good balance. I definitely would like a scenario where 25 to 30% of our delivery orders are done directly. From a data perspective, I want to have a direct contact with my consumer and get feedback more closely.

I think that's the sweet spot for me.

[Speaker 3] (2:23:26 - 2:23:43)

So top dishes, chaat, biryani, sweets, or top cuisines, Chinese, Indian, do you think the odds of success are higher building here or building something new altogether? As a new person starting a restaurant.

[Speaker 1] (2:23:45 - 2:23:46)

Pedigree always helps.

[Speaker 4] (2:23:47 - 2:23:48)

Are you saying that?

[Speaker 3] (2:23:48 - 2:24:00)

I'm a new guy. I've saved up a little bit of money. I was working in a job last five years.

Should I hit North Indian, Chinese, South Indian, or chaat, chicken, biryani, sweet?

[Speaker 1] (2:24:00 - 2:25:02)

From a popularity perspective? From an odds of success perspective. The double-edged sword here I think is that though cuisines like North Indian and biryani might be more popular than say a burger and pizza.

Pizzas are now equally popular. The problem also remains that there's a lot more competition. A lot more players in these fields.

So it's hard to say. We've seen, for example, a tougher challenge selling pizzas than burgers. Whereas the demand for pizzas is far more than burgers in India.

It's literally like our dinner and our snack and our lunch. Pizzas has reached that. There are fewer burger places and as a result, if you can make a difference, make a better product, you can stand out.

And the competition is lower, supply is lower from the restaurant side. Whereas in pizzas you're competing with the big boys. And although Domino's is the biggest of them all, you have Burger King and you have McDonald's.

I just think that it's not just the cuisine itself, it's also how many people are playing that game at that time.

[Speaker 2] (2:25:03 - 2:26:11)

It's a demand-supply game depending on which region you're operating in. There are certain areas where there's a certain demand. For example, Mexican is not sought after in all regions.

No, it's fair. There are some areas where there will be no demand for an 800-rupee burger. There's some demand where the demand for an 800-rupee burger will outstrip that.

It is strategic. I can't give you one answer for the whole market. It depends on which market you're thinking about operating in.

That's where you've got to see what is being underserved. If you're thinking about scale, it's a different issue. But if you're starting off, I think you're very well placed by finding out what is the demand and the aggregators are very happy to share this information.

You can go to them and you can ask them, hey listen, where are you seeing demand-supply mismatch? What is an area or gap that we can help fulfill? And they will very happily give you that data.

And if you're willing to play that game, then yes, you do have a reasonable chance of success.

[Speaker 3] (2:26:11 - 2:26:32)

I think for me, when I started, I asked myself a very simple question and I just said, I don't want to have anything on my menu that's available everywhere. And for me, that was a differentiation at that time. And I think it worked also because it's a different market.

It's a different premium level. But yeah, if you do something that everybody is doing, then the competition is obviously a lot more.

[Speaker 1] (2:26:33 - 2:26:45)

Specifically to answer your question, I think it's not about the cuisine. It's about which market, which geography are you serving what? For example, it might be easy to serve butter chicken in Bangalore than biryani.

[Speaker 3] (2:26:45 - 2:26:49)

Even though biryani is more popular. And that data is best taken from the aggregators.

[Speaker 1] (2:26:49 - 2:26:56)

And do they give it just like that for free? They'll share it because they want to build the ecosystem. So that's one data that you're never going to have a problem getting.

[Speaker 2] (2:26:58 - 2:27:24)

They will not give you data of the customer because they want to keep the funnel to themselves. Right. And they'll cite security reasons, of course, for that.

But that data is not. But any other data where there's a kind of a mismatch or what is being ordered, that is freely available. So if you go and you ask them, what is being ordered the most in this area?

And how many players are there in this area? That data is available with them.

[Speaker 1] (2:27:24 - 2:27:26)

And that could be used as a tool for new people, right?

[Speaker 2] (2:27:27 - 2:27:32)

It's quite nice. What is this?

[Speaker 1] (2:27:33 - 2:27:35)

I don't know. Lamb. That looks like lamb.

[Speaker 2] (2:27:36 - 2:27:38)

Do you want to try that? What is this?

[Speaker 1] (2:27:39 - 2:27:46)

Where's the chicken? There must be some chicken burgers also, guys. But now it's cold.

I don't know what you'll eat now. Fried chicken burger, cold is not going to work.

[Speaker 2] (2:27:47 - 2:27:48)

Even my coffee is cold. I'm still drinking it.

[Speaker 1] (2:27:51 - 2:27:52)

Supply chain, am I missing anything?

[Speaker 3] (2:27:53 - 2:28:01)

Is there a way to negotiate efficiencies in the supply chain? To reduce the cost of goods? Where do you buy supplies from as a restaurant owner?

[Speaker 1] (2:28:02 - 2:28:58)

Multiple vendors. All of us rely on, HyperPure has been started by Zomato that is trying to become a platform. But at this point in time, the vast majority of restaurants around the country are buying from individual vendors that they've had relationships for years.

And it's a good thing. You should encourage this local farmer, local vendor. These guys, the meat supplier, the local butcher, the local farmer, the local vegetable guy, even though he's a consolidator, goes to the mandi every morning, picks up the stuff, does that effort, does that value add, and then gives it to you.

I think that should be supported, but there are now alternatives. There are now larger platforms like HyperPure that are providing a platform. And you, Pooja?

We also use HyperPure now for our basic groceries, and then we have- Why is that? Is it quality? Is it cost?

Convenience. Single vendor for many things. Do you get credit?

Yeah, you get. Yes.

[Speaker 2] (2:28:59 - 2:29:00)

But not a lot.

[Speaker 1] (2:29:01 - 2:29:05)

But you get better credit from the individual vendors. And also remember, there's a relationship thing.

[Speaker 2] (2:29:06 - 2:29:14)

On one hand you're saying support the local guy, on the other hand- What percentage? Small percentage. Like a fraction.

[Speaker 1] (2:29:14 - 2:29:18)

A fraction. Fraction is in single digits. Percentage.

[Speaker 2] (2:29:19 - 2:29:20)

Support the local guy.

[Speaker 1] (2:29:20 - 2:29:58)

I do. I love the local guy. In fact, I think that I have more of a relationship with the local guy, far more than I would get with a large platform.

Again, I don't want to get dependent also on one large player, right? I want to have my- For example, the red meat, the goat that I get for the NCR region comes from one small butcher who used to first supply it to my house. I helped him build capacity.

I actually said, listen, I'm guaranteeing you this much purchase. Can you please start producing more for me? And he built a system where now he's actually supplying to others.

Main points one needs to keep in mind while opening a restaurant.

[Speaker 3] (2:29:59 - 2:30:03)

One big question, location. How do you guys narrow down on location?

[Speaker 1] (2:30:04 - 2:30:45)

Because you've all said location, location, location. How do you, what do you use individually to figure out the location? I think all of us will have some similar points and some overlaps.

I'm a little bit old school in this sense. When it comes to a restaurant location, a physical, offline restaurant location, I would like to visit it at least once or multiple times if possible and go with the gut. I do rely on data, but like I said, the data is fairly, you know, it's not really that accurate and it might be stale.

It might be stale data that you're getting from these agencies. You should go and see other restaurants in the area.

[Speaker 3] (2:30:45 - 2:30:46)

Go see the other restaurants already.

[Speaker 1] (2:30:47 - 2:31:19)

That's how you do a site survey. A site survey is a two-day exercise. It's not usually a one, because you're going to invest 5, 6, 2, 3, 5, 6 crore rupees into a restaurant.

You should at least give it two days. Makes logical sense. Sit there.

Put the time in. And I don't think, even though I have a great business development team, people I really trust, and sometimes, especially for overseas locations, I'm not able to visit. I think it's important if you, especially if you're starting out, to spend that time.

Go and focus on that.

[Speaker 3] (2:31:19 - 2:31:47)

For us, for me, at least for Bombay, it's been, because I know the city, I kind of know the pulse of it. I know where the product will really sell. But what we've been doing recently is actually using the Cloud Kitchen model to kind of understand a neighborhood.

So, for example, we started a Cloud Kitchen in Juhu for six months, and we saw that that was really successful. And we said, okay, this market is successful. Let's open a store here.

And we opened a store there. So we're kind of using that and saying, okay, we're doing Thane now.

[Speaker 2] (2:31:47 - 2:31:48)

That's a very good way of doing it.

[Speaker 3] (2:31:49 - 2:32:04)

We're doing Thane now, and we're saying, okay, Thane is doing well for us. Malad didn't do that well for us. So we're kind of testing.

And the capex of a Cloud Kitchen is significantly lower. It's lower. It's nothing.

It's a fraction. We're working with an existing Cloud Kitchen, so we just supply goods there.

[Speaker 2] (2:32:05 - 2:32:09)

And they do their fulfillment. Supply chain is controlled.

[Speaker 3] (2:32:09 - 2:32:12)

This seems like a great hack. Supply to an existing Cloud Kitchen.

[Speaker 2] (2:32:13 - 2:32:45)

Test it out. Rebell is entirely on that. Well, you know, I think location is also a function of product, depending on what kind of product you want to offer.

So that becomes very important. If you are a QSR business, you of course want to be in a fast-moving, you know, audience. You want to be able to capitalize on footfall.

Not just, I'm talking about walking footfall. Not driving footfall. Because that doesn't really help us.

If you're slightly more sophisticated.

[Speaker 3] (2:32:45 - 2:32:46)

How do you count footfall?

[Speaker 2] (2:32:47 - 2:32:48)

What do you mean?

[Speaker 3] (2:32:48 - 2:32:53)

Like if you're picking a location, and you want to know what is the footfall of people just passing by that place, how do you count?

[Speaker 2] (2:32:54 - 2:33:09)

So, I mean, we get our data points from various agencies. Again, JLL. Yeah, JLL.

There are local brokers. And a lot of the information the restaurant does get.

[Speaker 3] (2:33:09 - 2:33:12)

And how does someone get this information from JLL? They email them?

[Speaker 2] (2:33:12 - 2:33:27)

The last broker from 143 goes to Bombay Central. There everybody knows everybody. So, we know that this restaurant is making so much money here.

This is the sale this restaurant is doing. It's anecdotally available.

[Speaker 3] (2:33:28 - 2:33:30)

On one particular train, why?

[Speaker 2] (2:33:30 - 2:34:30)

No, because this is where the crowds mingle. This is where all the hospitality guys go back. This is where the information comes in.

They talk to each other. There's a loose connection. There's some guy who's working for my restaurant has worked with somebody else's and somebody else's restaurant.

There's always a network. So, there's always a loose sharing of information going on about how much business, you know. Everybody knows.

This restaurant is doing 4 crores. This restaurant is doing 3 crores. Everybody knows that in the industry.

There's another form of triangulation. Another form of triangulation is to basically figure out from your suppliers which restaurants are buying which regions where they're supplying more. Your liquor companies.

These are again rich data sources. Aggregators, again rich data sources. So, these are all different data sources that are available to you depending on what your product is and what kind of price points, etc.

That is again available. The demographic breakup is also available. So, you can decide.

[Speaker 3] (2:34:31 - 2:34:37)

All three points are very interesting. How do you account for pilferage in accounting and how do you prevent that from happening?

[Speaker 1] (2:34:38 - 2:36:15)

Because if I'm new and starting a restaurant, that could be a big issue, right? It is. It is.

Unfortunately, it's a reality. And you have to learn to ignore some of it. But you have to have systems.

See, this is a very high touch point industry. There are many moving parts. And as a result, even though barriers to entry are low, you don't need a diploma to open a restaurant, the dependence on systems is arguably even higher than perhaps if you're making a ball bearing factory.

You're buying from one vendor, you're producing in one machine. There are not too many people.

Here there are so many gaps.

The bartender is one touch point. I don't think there are any hacks. I think there's a lot of, like I said, building systems.

Do you never outsource supply, like paying the supplier, ordering, all of that? Overseas we do that. The entire accounting, for example, in Fuzzy Cafe London is outsourced.

Because we don't, for one restaurant, we're not going to build a whole finance department. In India we do it fully internalized. You have to have systems.

I cannot downplay the importance of, you know, like I said, it is low barrier to entry. But there are just so many gaps. You have to have dependence on good people.

Build good culture. Perhaps develop a direct relationship with your vendors. So when I say pilferage, I mean, I'm assuming you're saying, consumer comes and bill's not raised, or the vendor is supplying 10, and you're being charged for 12, right?

Culture building. Making sure there are enough audits. We do a bunch of audits, but I think it's more important you just have to learn, you can't police people for too long.

Can you remote control a restaurant? Can you not be physically at that particular branch and check for all this?

[Speaker 2] (2:36:18 - 2:36:19)

Yeah, I mean.

[Speaker 3] (2:36:19 - 2:36:22)

What are your methods of accounting?

[Speaker 2] (2:36:22 - 2:37:30)

So basically, opening stock, less purchases, closing stock is basic accounting. But what you follow is standard recipes, which are fed into your point of sale system. Your inventory management system needs to be linked with your point of sale system.

From your sale of today, if I've sold, let's say in a month, I've sold 300 coffees. It's very easy to calculate what my consumption of coffee should have been, what my consumption of milk should have been, what my consumption of sugar should have been. And you get a little tolerance levels.

But it's very, very easy to tell that. You have to be able to be very diligent in your audits and stock keeping. Your buy inventory needs to be tallied every night.

You cannot afford to not do it. Your inventories need to be closed on the 31st. Every month means they need to be closed on the 31st.

Whatever happens. Rain or high water, it needs to be closed. Your first in, first out methods need to be followed.

Bar coding needs to happen. So there's various technology stacks which are available right now.

[Speaker 3] (2:37:30 - 2:37:33)

Is there a particular software you can buy that helps you do this?

[Speaker 2] (2:37:33 - 2:37:34)

Yeah, yeah.

[Speaker 1] (2:37:34 - 2:37:40)

What do you guys use? We have a system called Rista.

[Speaker 2] (2:37:41 - 2:37:42)

I use Rista too.

[Speaker 1] (2:37:42 - 2:39:13)

And we use them for R-I-S-T-A. Rista ka Rista. And .pay runs it. It's a good system. It's a new one. But it's fairly robust.

And we also use the ERP system. So in different kind of restaurants you need different kind of systems. Like I said, if you don't have SOPs, you're dead in the water.

Because there are so many gaps. There are so many touch points. For Rista, the ERP system is they also have an ERP.

But you don't need a SAP. You don't need a SAP. You need a basic material management system.

And that's linked to your POS. And that can then identify consumption. And you tally that with the sale.

One key thing in liquor-based restaurants such as socials or Farsi cafes, which have a high liquor component, we at our company do a daily inventory of every single bottle of liquor every night. And we have a weekly food cost report. So every week, we have a full food cost report, opening, closing, consumption, with a real-time food cost and COGS report.

What that does is it helps us track if there are anomalies. And the anomalies can be addressed timely. If you do it twice a month, half the month is over, you found out to adjust it takes another week.

And then you're already late. Your food cost is going to jump. Your beverage cost is going to jump.

So I think use the technology. It's there. For all the young people watching who want to get into this, use the technology.

It's there. It's cheap. It's not expensive.

And it's easy to learn. And there's enough talent.

[Speaker 4] (2:39:13 - 2:39:14)

How much does it cost?

[Speaker 1] (2:39:14 - 2:39:18)

I don't know the exact numbers, but it's in literally a few thousands per restaurant per month.

[Speaker 2] (2:39:19 - 2:39:28)

A few thousands. A full stack point of sale and inventory management system should cost you less than a lakh a year.

[Speaker 1] (2:39:29 - 2:39:31)

A few thousand per restaurant per month.

[Speaker 3] (2:39:31 - 2:39:41)

Any hacks? We use a system called Barometer, which is our material management system. Same thing.

It's far easier for us because recipes are so specific as compared to alcohol.

[Speaker 4] (2:39:42 - 2:39:43)

Yours is even better because it's all chemistry.

[Speaker 3] (2:39:44 - 2:40:13)

So 100 grams of butter will always be 100 grams of butter. So we use Barometer and it's the same thing. It's linked to your POS and then you tally it at the end of the day.

No wonder your COGS are 18%. I remember reading a book about designing a menu long ago and I realized and I don't remember it now, but designing the menu is an entire science, right? Like you have an anchoring bias, you price dishes, you want to sell in a different section.

[Speaker 1] (2:40:13 - 2:40:14)

Ascending or descending.

[Speaker 3] (2:40:14 - 2:40:24)

You put prices in a different manner. What is the science of designing a menu and some hacks that could work improve sales? Riyaz.

[Speaker 2] (2:40:26 - 2:41:03)

A magician never reveals. No, okay. Look, I mean you could put in various NLP hacks into those things and you could come up with a lot of that.

I think what the basic systems are, what is called menu engineering, where you basically figure out what are the things that are your stars, which means that they're moving fast and you're getting a decent margin which is acceptable. What are your dogs? There are no margins and there are no sales.

What are your workhorses? Means that they're getting enough volume but they're a little lower on profitability.

[Speaker 3] (2:41:03 - 2:41:06)

And how do you position the menu in a manner that what you want to sell sells more?

[Speaker 2] (2:41:07 - 2:41:35)

Again, you put, you know, there's anchoring bias, where you place your menu which is highlighted, which is not highlighted. Now, in addition to printed menus now, we are increasingly having to become very savvy about digital menus. So, you know, we have to use the same cataloging things that are happening.

So, even within restaurants now, we are not giving customers physical menus. We are encouraging them to order.

[Speaker 1] (2:41:35 - 2:41:38)

Yeah, I don't like that. I love physical menus, man.

[Speaker 2] (2:41:38 - 2:41:51)

Yeah, so do I. Because I can't, I can't. We've stopped digital everywhere.

But the millennials and the Gen Z's they're shutting out economy champions. They don't want to look at.

[Speaker 3] (2:41:51 - 2:41:53)

This is not true. I'm a millennial. I can say that.

[Speaker 2] (2:41:53 - 2:42:03)

What we're seeing on the ground level is that we're more than happy. And we've seen actually, we've seen higher AOVs on digital menus than we're seeing in printed menus.

[Speaker 1] (2:42:05 - 2:43:17)

Also, the menu. And your menu design? So, our menu.

So, firstly, let me address menu design in general. I think you have to look at it in two different ways. One is casual dining restaurants like most of us here are involved in.

And then there is the QSR. The QSR is actually a science where they realize where the cashier is standing. The TV screen above him is the first one to get the eyeballs. So, he's the most expensive or the combos will be there.

The burger, the single burger which is the lowest value adding product for them is literally stuck in the right corner. There's a literal book written on how McDonald's developed this system of human psychology. You're working with psychologists to figure out where should they display what in order to enhance AOV because they're working on smaller AOVs.

I think my father has spent a lot of time building this. He always believed in starting with being India. The vegetarian section first.

And going in an ascending order. So, lowest to highest. So, the most expensive product is at the bottom of that particular section.

Simply because when people read the menu, you don't want to see a 2,000 rupee dish straight at the top. You're immediately turned off. Oh, this restaurant is too expensive.

Fuck, let me order just one dish.

[Speaker 2] (2:43:17 - 2:43:19)

That's the opposite of the anchoring bias that we're talking about.

[Speaker 1] (2:43:19 - 2:43:27)

Correct. But in a restaurant, in a casual dining or a fine dining restaurant, it has to work the other way. But that's assuming you scan the menu once.

Yeah.

[Speaker 3] (2:43:29 - 2:43:35)

If you're always going to scan the menu a couple of times before you make up your mind, your anchor can be downstairs. Yeah.

[Speaker 1] (2:43:35 - 2:44:29)

And again, like I said, QSR and CDR and FDR are three different things. So, when you're going to a restaurant like Indian Accent or one of his salt water grills or premium restaurants, you're going to see a different kind of consumer. Not necessarily entirely is the purchase decision based on price.

And vegetarianism, why I do that is because I feel that this one country, and again, I'm talking about Indian restaurants in general. I'm not necessarily talking about an Asian restaurant or an Italian restaurant. When you go as a family, it's just more comforting to see a dal makhani or a paneer makhani or something like that because 45% of all consumers that come to my restaurants are naturally vegetarian.

Why is that? I read 80%, 79% of India is non-vegetarian. It is.

It is. I don't know if the number is that high. I don't know if the number is that high.

Most of South India is non-vegetarian. Punjab is 49% vegetarian.

[Speaker 2] (2:44:30 - 2:44:33)

Punjab, Haryana, Gujarat. Punjab is the highest. Haryana is the highest.

[Speaker 1] (2:44:33 - 2:44:50)

No, Punjab. Really? 49% and you won't believe.

Haryana, I thought the number is 65% or something vegetarian. I don't know. I've read numbers that are 49% for Punjab being the most vegetarian.

And the most non-vegetarian is Kerala, Goa, West Bengal.

[Speaker 2] (2:44:52 - 2:45:18)

There's a diagonal line that's running across India. It's not a horizontal line. From the northeast to Goa, in that sense, there's a diagonal line.

And I think south and east is non-vegetarian. Rice consuming and north and west tends to be a little bit more veg. Bread basket.

Menu hacks.

[Speaker 3] (2:45:18 - 2:45:40)

For me, it's more about how the display fridge looks. That's what works for us. So it's you eat with your eyes first, where you position what.

Do you also do smell? Because a lot of new age coffee shops are doing that. That's how Cinnabon put a fume outside the store.

That Cinnabon smell in any mall.

[Speaker 2] (2:45:40 - 2:45:42)

And the McDonald's french fries smell.

[Speaker 3] (2:45:43 - 2:45:54)

We actually haven't experimented with smell, but that's a great idea as well. So I'm taking away the 300 rupee macaroon and adding smell. Great.

And who do you guys use for menu design?

[Speaker 1] (2:45:55 - 2:45:57)

We do it fully internally. 100% internally.

[Speaker 3] (2:45:58 - 2:46:19)

We have an agency that we work with. Who do you use? It's an agency called Starting Monday.

Starting Monday. We're trying to do everything that can help a guy starting a restaurant. Who do you use?

ChatGPT. Is it doing a good job? That's a good segue actually.

Am I helping you guys in any way?

[Speaker 2] (2:46:21 - 2:47:07)

In many ways. Do you guys develop dishes? Actually.

Wow. If you have a concept. The way we work with chefs and we together let's make a menu on grammar.

Can you make an alliteration? Can you make a metaphor? Can you make an oxymoron?

Can you make a menu on Bandra? Can you make a thing like that? We are basically conceptualizing and this is a really good exercise that we kind of get into.

And then when you're trying to construct this and build this certain keywords going into AI helps chefs also be able to present their ideas in a better manner.

[Speaker 3] (2:47:08 - 2:47:10)

Are you really pushing it to the extent?

[Speaker 2] (2:47:10 - 2:47:13)

We have just started using it. To be honest.

[Speaker 3] (2:47:13 - 2:47:23)

If there's a video camera in your restaurant which is recording eating behaviors and reactions of people consuming the food. That's a lot of data collection, right?

[Speaker 1] (2:47:24 - 2:47:28)

China is doing that with their students in all their schools.

[Speaker 2] (2:47:28 - 2:48:05)

We use our cameras to do table heat mapping. So for example, we like to see which are the tables that people like to sit at. Which are the tables that get filled first.

And camera technology is helping us do that. We are getting to see we are getting table counts. We are getting to see male versus female ratios in our restaurants.

We are not listening in on them and we are not reading their lips or we are seeing their expressions. Yet. That's not something that we are going to do.

That's why we have our servers because they have the points.

[Speaker 3] (2:48:05 - 2:48:07)

What software do you use for this?

[Speaker 2] (2:48:08 - 2:48:10)

Jarvis. We use Jarvis.

[Speaker 1] (2:48:12 - 2:48:27)

We don't use table mapping but we are using AI very extensively. Not for menu generation but for image creation. For even copywriting.

And we are using it also for videos.

[Speaker 3] (2:48:27 - 2:48:58)

Riyaz, I've heard in our research that you are big on design. And design is a very big element from the time you had a coffee shop called Mocha. I've actually been there.

You had one in Kormangala back in the day. I think like a decade ago. How do you go about we all establish that ambience is, if not as important as food, it is very important.

How do you go about designing the interiors of a restaurant? How do you budget for it? Some hacks around that for somebody starting off.

[Speaker 2] (2:49:02 - 2:50:24)

I think the design starts with how do you want your how do you want your guests to feel? Do you want them to feel elegant? Do you want them to feel sophisticated?

Do you want them to feel at home? Do you want them to feel comfortable? Do you want them to feel like they are transported into a magical land?

I can have the same cup of coffee which I'm holding. Either I can hold it like this which is a different thing. I can hold it like this.

Or I can hold it as a cuddle mug. And all these things are very tactile. They actually go a very long way in how you feel.

Things that you can feel, touch, all materials have a temperature. They have a texture. And it conveys something.

Leather conveys something. Velvet conveys something. It's feel.

And then of course you want the experience to be in the same chord. You want to feel that particular way. So how do you get somebody to feel more sophisticated?

How do you get somebody to feel a little bit more elegant? How do you get somebody to feel like, okay, you can come here in your flip flops. And that all starts with design.

And I think whether we like it or not, everything is designed. Whether we call it design or not, but it is design.

[Speaker 3] (2:50:24 - 2:51:02)

I worked with Riaz's friend, very good friend Ayaz for the design of my cafe when we did in Colaba. It was such a beautiful process, the whole thing working with him. And initially he asked me, he's like close your eyes, visualize if you could visualize your space as a person what would that person be?

And we were talking about he was a young Sean Connery. And I said, no, no, no. It's Monica Bellucci.

And that's when you got the little femininity. You got the space. You got the finer touches.

So I think it's about understanding what the final feel of the place should be like.

[Speaker 1] (2:51:02 - 2:51:03)

Design?

[Speaker 3] (2:51:03 - 2:51:10)

Do you guys personally get involved now after all this growth? Do you still partake in the design element of a new restaurant?

[Speaker 2] (2:51:10 - 2:51:11)

I'd be out of a job if I didn't.

[Speaker 1] (2:51:13 - 2:52:01)

Like I said, 10 years ago, I would have spent less time or I would say a third of what I do now. So design has become just so important to the world experience. It's no longer just about the food or the drink.

Design dictates how you feel. Does it make you feel good? Does it make you feel luxurious?

Does it make you feel comfortable? Does it make you feel relaxed? So many things are dictated entirely by the design of the space.

I don't, I think I have a decent aesthetic sense but I like to rely on these really talented people. I think design has become so important that you have to have access to great people like them to be able to build these beautiful spaces because they can think in a way that at least a person like me can simply not. And they bring that extra dimension, the fourth dimension in a way.

[Speaker 2] (2:52:01 - 2:52:29)

You want somebody who's going to come to you with a genuinely thought out design with purpose with origin, you know with direction. You don't want somebody coming to you with a mood board from Pinterest because that is what design has been reduced to now. You see

something which is trending on Pinterest, you can bet your life that three months later you're going to see forty restaurants which are going to look exactly the same.

[Speaker 3] (2:52:29 - 2:53:08)

My first ever store, like the proper first store in Bandra, I remember the day I signed it, I went with my friend Prateesh who runs a company called Starting Monday and we went to a cafe and he turned the menu upside down and he said close your eyes and describe your store. And I described it and as I described it he drew it out. And then we took that to a friend's dad who was an architect and said can you please replicate that.

And then we actually have the picture of the drawing with the store next to it. It's like lovely. So I feel like it's not you know don't be, you don't need too much sometimes.

Sometimes you just need to know what you really want.

[Speaker 2] (2:53:09 - 2:53:21)

Yeah absolutely. Sometimes just a clever use of paint and you know just the right kind of shade of sofa or upholstery. That's the magic you don't need anything else.

[Speaker 3] (2:53:21 - 2:53:49)

A lot of people said UGC, they talk about UGC like the holy grail, user generated content. They say to get through virality you need to have user generated content. How do you incentivize or trigger an audience to do that?

So for example in our Palladium store we have three giant macarons stacked against each other and it's just everyone who enters that store just takes a picture with it. Like we don't ask them to we don't say stand here take a picture.

[Speaker 1] (2:53:49 - 2:54:29)

Do you incentivize for them taking a picture and tagging you? We don't actually. Instagram is a tool to be harnessed.

So a few years ago being Instagrammable was very important. I think the world has moved on. See there are cycles in everything.

The restaurant industry has a cycle shorter than any other industry. Every six months food tastes change, design tastes change, entire you know the entire vibe around a certain area changes, entire markets change. So I think cycles are smaller in our industry than perhaps even in the fashion industry.

Any other ideas?

[Speaker 2] (2:54:29 - 2:54:52)

I think uniqueness definitely is what gathers attention. I mean scientifically that's what we're designed to do. We process a lot less information than we are receiving.

So novelty is one great way of actually getting that one novelty based element. It definitely is a thumb stopper. It definitely is.

[Speaker 1] (2:54:52 - 2:54:56)

I just think those days are gone. I think no longer is novelty required.

[Speaker 3] (2:54:56 - 2:55:05)

When I went to Japan now I think my whole list was an Instagram filled list of like all these matcha filled drinks and like food and stuff.

[Speaker 1] (2:55:05 - 2:55:35)

I'm talking about from a design perspective. From a design perspective I think being Instagrammable Food or design. I mean both for you.

Food I think the more unique it is the more effort you put into the presentation. That's going to be forever. See a lot of this drama.

Till it got banned. Riyaz came and had a sip of the liquid nitrogen in one of my restaurants got a hole in his stomach and we had to get it repaired. He was kind enough to not let it out in the public till today.

[Speaker 2] (2:55:36 - 2:55:45)

There's a hole in my soul. That you need to fill. To be how?

Great food? Louis burger with gold on it? I'll give you that.

[Speaker 3] (2:55:45 - 2:55:51)

Is that going to be an increasingly important element, drama to make a restaurant work?

[Speaker 1] (2:55:52 - 2:55:52)

Used to be.

[Speaker 3] (2:55:53 - 2:55:54)

Want to get eyeballs in the beginning I think.

[Speaker 1] (2:55:55 - 2:56:59)

Want to continue? When Farsi Cafe opened 2015 2014 end it was important to have all this drama table side theatrics molecular gastronomy Since then Farsi Cafe has done a 180 in the sense that with the cycle of things the term molecular gastronomy has been in a way bastardized. People are not using it to the full potential just using some of this drama but not to effect.

They're doing it as a theatrical thing. Not really helping the dish itself. Like I said the table side drama has diminished but people still love some form of interesting action dynamism.

The correct word would be dynamism happening around their food. I think people enjoy that but it's lost its importance. It's not important anymore to get eyeballs.

I think the only one thing that will forever work for a restaurant and for it to grow organically is word of mouth and that is the holy grail. That culmination of everything.

[Speaker 2] (2:57:00 - 2:57:44)

So things have to be remarkable right? People have to find something to be able to remark about. It's very organic.

So while you can remove the bells and whistles from like you know there's no need to basically send a post box with a burger inside or you know a drink in a bird cage or whatever. All that is I think that is. But having good theater is very important right?

So how a great maitre d' for example is phenomenal for a restaurant. It's worth their weight in gold. Something that will get the remarkable thing going where they will feel the need to actually tell their friend that this is what they've experienced.

[Speaker 3] (2:57:44 - 2:57:52)

I think if you have a really good meal or experience somewhere you want to share it with your friends right? Like you go out, you have a great meal someone's asking you for a recommendation where should I go.

[Speaker 1] (2:57:52 - 2:58:53)

But things like referrals don't work. They do. Referrals will work.

If they're coming from a clean space If they seem motivated then they're not going to work. But people are smart enough to realize that. Word of mouth is not a simple thing It's a culmination of a hundred different things Service, the temperature, the quality of the napkin the tableware, the food the drink, how soft were people There's a big difference between service and hospitality Service is simply the aspect of taking a drink and putting it on the table Hospitality dictates how you made that patron feel And I think that's a very big thing And this is something that you know I

think arguably the greatest restauranteur in the world has been harping on about for years in his new book Unreasonable Hospitality.

He talks about it but it's something very deep. What is the name of that book? Everybody should know.

Unreasonable Hospitality.

[Speaker 2] (2:58:53 - 2:59:14)

It talks exactly about this I think the question is how do you get that how do you get people to talk about it The culmination of all of this You know, this is a great restaurant everything is fantastic But what is that one thing that There is no one thing. No, there is There can be Like I said That builds word of mouth?

[Speaker 3] (2:59:14 - 2:59:17)

It could be a single dish There's so many restaurants I go to for one dish.

[Speaker 2] (2:59:17 - 2:59:25)

One dish One dish is enough you know sometimes The restaurants which are built that entire for generations have survived on one dish.

[Speaker 3] (2:59:25 - 3:00:14)

How important is a chef and because he becomes so cardinal to the business, how do you maintain the right bond where you don't a. lead him on or b. put him in a position of power if you're a restaurant owner that he can leave and kill the restaurant if he likes How do you negotiate chef relationships?

Hacks I mean I am the chef so If you were to franchise and have another chef or if you were to open a branch and have another chef what do you think you would do? Honestly, I think it's and I've seen this with friends with different restaurants where the chef was the main ingredient and then moved on and the restaurants continue to do really well doing better after they've gone

[Speaker 2] (3:00:14 - 3:00:15)

And in some cases not

[Speaker 3] (3:00:16 - 3:00:27)

I just feel that it's for me it would just be it's more about the product than the chef I think

[Speaker 2] (3:00:28 - 3:01:36)

Again, you know, I think that I think we've all had experiences where we've put our faith in chefs and we've nurtured them and we've given them everything that they've asked for and at some point of time they've gone looking for a better opportunity for a few I think that sometimes that does break your heart I think sometimes that does make you feel that you know what screw that I'm not going to do a chef based restaurant again but sometimes when you can really really really know how to handle the diva and make the diva really perform to the best of their capabilities there's a different magic in that so again depending on the kind of restaurant you want to do there are some restaurants where people are going to come and they will kiss the ring of the chef because that is what they're coming for and some they will come for the brand I think that if you decided to work with a chef who is a diva you know, like a virtuoso a savant in this place then you will have to be able to be sensitive to their sensitivities

[Speaker 3] (3:01:36 - 3:02:04)

so actually when I had the Colaba Cafe I had a friend of mine who was Colombian and came to work as the head chef and a lot of it was driven by him you know the place became about him and a lot of the people that came, came for him and then when he left I was in that position where I was like oh my god are people going to come back but in fact our sales just grew after so I feel like it's you know it's kind of funny in that manner

[Speaker 2] (3:02:04 - 3:02:18)

it is bittersweet I think I think when it's symbiotic it's beautiful but I think that no one organization or one person is bigger than the sum of the parts

[Speaker 3] (3:02:20 - 3:02:33)

Guys, staffing where do you hire restaurant staff from and is there anything in particular you can do to retain that staff, are there any hacks in this industry Riyaz you want to go first

[Speaker 2] (3:02:35 - 3:03:18)

I think that we have fortunately I think word of mouth as a good employer is very very important, referrals for us are the number one recruitment source we encourage our staff to bring us more staff that is the shortest and fastest way of getting good quality people of course you need to have a robust training program you need to know what do you want to put somebody on the floor what can you do to get them on the floor what are the basic skills they need I'm not a big believer in in education I think it's completely a waste of time in the hospitality business

[Speaker 3] (3:03:18 - 3:03:20)

when you say education you mean

[Speaker 2] (3:03:20 - 3:03:57)

any kind of degree in the hospitality industry thanks sorry I think he means for front of house staff I don't mean for chefs you know FCI and CIA of course bring a certain sensibility but when it comes to general staff we are really not looking at the institutions we are looking more at the pedigree of the institutions that they have worked at because then you can really tell where they are going to come from you know there are OCLE which is the overall school of learning and development is going to be of a certain cut

[Speaker 1] (3:03:57 - 3:05:09)

so firstly I think you select people you should hire people that get pleasure in giving others pleasure how do you do that it is absolutely based on it is absolutely based on a good talent acquirer who do you use we have in house talent acquirer uses portals number one thing is always going to be referral you said your headhunter headhunters hire from portals we call them talent acquirers they use a multitude of things I think the number one method is always going to be like you said referrals because these are people that have already seen the work culture they have seen how it is to work in that particular position what are the benefits etc right and that's what is our number one methodology but having a good talent acquirer who is able to ensure that the tick marks are ticked in a certain kind of person a person who gets pleasure by giving pleasure a person who feels happiness when he gives pleasure to others I think that's a very very good virtue

[Speaker 3] (3:05:09 - 3:05:13)

is there a mechanism to do that if I have to hire a hundred people

[Speaker 1] (3:05:13 - 3:06:42)

and there is a filter I want to put in place it's interview process you have to call them over you have to meet them you have to figure out if they fit within the culture of your organization and how do you keep them keeping is the harder part benefits? no approachability and accessibility if you're HR it'll be hard for the founder of the company to do that if you have an HR and a management system a hierarchy not just at the HR level but also at the restaurant level that is highly accessible and approachable then that'll have a huge impact in making sure that your retention rates are high typically in the QSR the retention rates, in fact the attrition rates are over 100% so you're talking about 120% attrition which means more people in a year, in a set finite period leave the organization and actually join whereas in the CDR space if you're between 30-40% it's good so I think just be there for them have policies that are empathetic have a listening ear and a management system within the restaurants the first port of call is always going to be the manager there has to be some basic empathy training with the managers they have to have they have to also be able to impart culture I think building culture is more difficult than building competence you can build competence into a person if they're not trained you can train them how are you going to build culture? that comes through concerted effort from every level of hierarchy

Pooja?

[Speaker 3] (3:06:44 - 3:07:24)

when I started it was basically just getting people from again referrals started with a small team, trained them and as we started growing it was through agencies that specialize in hospitality graduates which agency is good? there are a couple not sure of their names exactly you don't get front of house staff though? no, but for kitchen and stuff for us as well just going directly to schools and recruiting directly Calm.com Naukri.com is great Naukri.com is great Calm.com is specializing in hospitality is that who you use?

[Speaker 2] (3:07:24 - 3:07:25)

I do use Calm.com

[Speaker 1] (3:07:25 - 3:07:34)

LinkedIn does work well next question there's a new one that's come out called Hospitality Hope

[Speaker 2] (3:07:34 - 3:07:36)

which is really good

[Speaker 3] (3:07:36 - 3:07:40)

it's a website started by Rashmi Desing

[Speaker 2] (3:07:40 - 3:08:45)

Database that's actually the best she's not taking a single rupee she's doing this as her Rashmi Desing, she's a very prolific writer and she's getting really good talent hooked up with international restaurants of real good repute so Hospitality Hope, if you're looking to go abroad much to our detriment Hospitality Hope is the place but just saying that you cannot retain everybody and I know that always in the hospitality business is the best server who will have the drinking problem or is the guy who's going to go and disappear for days on end, not show up but you have to be able to recognize them first and once you recognize them you've got to reward them and then the way to retain them is to tell them that look, we see you we've spotted you we're going to put you on a track we're going to put you on a journey three years from now this is where you're going to be five years from now this is where you're going to be and you stick with us seven years from now that's where you're going to be and then deliver you have to show them a path of growth because otherwise there will always be ifs, buts

[Speaker 3] (3:08:45 - 3:08:48)

Is it primarily financial growth or is it a growth of stature?

[Speaker 2] (3:08:48 - 3:10:50)

It is both, it is a growth in your designation as well as growth in salary What is the bigger trigger emotionally? Look, emotionally having the designation of a manager is a big deal having the designation of an executive is a big deal people want that, they want to be able to know that they are in a position of authority but at the end of the day that doesn't fill your stomach alone you need to be able to have cash service charge goes a very long way in making sure that we can retain our talent ensuring that it's distributed they benefit from the company that builds teamwork as Zoravar said, a very strong culture really really helps because they know that this is a family and this collective responsibility you can't let each other down so these things cumulatively add up but at the end of the day this is what I've learnt from the Shetty's the ODP restaurant I'm from there by the way you cannot break a Shetty restaurant guy why? because he knows his dish washing today, if he puts his nose to the ground if he does the hard yards 10 years from now he'll be managing his own restaurant, 15 years from now he'll be a partner, he knows it and they have a beautiful system where they send money home to the wives and to the mothers, they take care of the kids education, they take care of all their medical needs, these guys are given a place to stay and a little bit of pocket money but this system is fantastic and there's a lot to learn but the important thing is that a clear path, career path is given to them, if you do this and if you stay this long this is where you'll go and that is good enough for them, it's just the uncertainty of you know that progression uncertainty of where they will be a couple of years from now is what causes unrest in my opinion

[Speaker 3] (3:10:50 - 3:11:43)

makes sense Festivals seasonal stuff if I were to be starting a restaurant today as a 22 year old how do I incorporate that into my business plan, is it a big part? For us yes Christmas, Diwali yeah so we start with I mean for us season actually starts in September August actually, start with Rakhi and then you go to Ganpati at least in Bombay you have Ganpati then you have Diwali, then you have Christmas then you have Valentine's Day and then you have Holi and then after that it's a little bit of a slow and then this whole season is also a big season for like weddings, parties people are doing caterings so we do a lot of that and then April to July is kind of like a little bit slow so we have to figure out what we do during those months so seasonality

[Speaker 1] (3:11:43 - 3:13:51)

at least with us is quite important and for you guys as well it's a big thing seasonality so there are two different things, one is I think your question is also regarding festivities right, India is a deeply spiritual country, there are many festivals that happen that have a direct impact on the business of your restaurant or delivery service, for example you have Ganpati in Bombay when you have Ganpati in Bombay you're going to see a reduction in dining out you're going to see a reduction in non-veg consumption, you're going to see a reduction in alcohol consumption people are going to not go out as much, when you have Navratra in North India you have a major reduction in the

number of people going out non-veg consumption goes down very sharply right, so I think there are two different things, seasonality affects everybody equally, festivals affect certain kinds of restaurants, a vegetarian restaurant would be less impacted during Navratras in North India whereas a non-veg restaurant or a bar would get more deeply impacted, these are just the realities of being in the country, you have to mitigate this by, in a sense planning in advance, coming up with special things like a Navratra thali or better offers, better deals during these specific times, and these tiny things can significantly throw up revenues they can mitigate I don't think they can completely resolve the impact or completely absorb the impact, they definitely can mitigate to a large extent it's just the reality of being in a country like India where there are festivals that have a huge impact on the socio-economic fabric that will have an impact on the business directly, and as a result you're going to have to mitigate in some way shape or form. Okay, so at the end of this podcast did I miss anything guys? I think firstly you've covered everything this is a crash course in restauranting, it took us years to do this, you just gave everybody the lowdown I think you can charge a lot of money for this podcast if you want to monetize it 7 hour podcast 7 hours?

[Speaker 4] (3:13:52 - 3:14:25)

F*** 7 hours 6 hours I didn't realise we had great keema we had the best burger ever we had some amazing macarons we had some amazing coffee can we please talk about that I am not plug it in plug in the one where I'm looking good we have to talk about this we are talking about it, the recording are we done?

[Speaker 1] (3:14:25 - 3:15:57)

no such thing do you still dance? so I dance extremely poorly I don't know how so I'll tell you what I learned out of this whole thing wait before you tell me what you learned out of it, what made you do it? my wife my son was adamant against it because he thought my being on that show and being the foolish dancer that I am will make a fool out of him in his school my wife said, you've always been the kind of guy who's taken on these kind of tough things that you're not comfortable with, things that are out of your comfort zone, that's the only reason I did it the obviously other reason was to be on a large scale TV show, let's be very honest about it by being on that show, and I hadn't done Masterchef, I'd done Masterchef in 2016 so several years, I'd done other stuff but not of relevance, this was a fairly large show, I took it on as a challenge I even now don't know how to dance well, but I had the best choreographer who put her life energy into me, she tried her best and the only reason I survived almost half that, well actually half that show, was because I felt a sense of responsibility towards Suchitra so big shout out to Suchitra, you're like a rock star, I love you, I'm gonna see you in Bombay very soon, she's my sister she and her husband were my choreographers they were the wind beneath my wings, literally, and they were able to extract something out of me that I simply did not know I had and to this day, I think it's simply a testament to her efforts, number one and be my ability to not give a damn

[Speaker 3] (3:15:57 - 3:16:02)

nice, I think that's the coolest thing, not giving a damn, that's beautiful right?

[Speaker 2] (3:16:02 - 3:16:04)

absolutely, I wouldn't have the ***

[Speaker 1] (3:16:06 - 3:16:13)

petrified of you would you're natural, you're doing masterchef, listen, it proves it

[Speaker 3] (3:16:14 - 3:17:52)

okay, so this show is meant solely as an exercise in education for entrepreneurs we've all been lucky to help other people be in the right position to get lucky, we build this content and you know, thank you guys for flying down to Bangalore and spending the amount of time you have I think this will be incredibly useful to so many young people who want to start a restaurant, another thing we do is we don't have any sponsors, we don't do any advertising and at the end of every show we try and do should I call it a good deed?

I don't know but we kind of like do something to pass the baton along and help somebody else in the last episode for example we decided to fund a young entrepreneur trying to build a business in fashion or in cosmetics or in home decor, who's under the age of 20 to 23 so I'd like to suggest that we come together and fund a young boy or girl which we will all pick together, we'll open out applications and you'll get thousands of them and we will fund someone who's unlikely to get funding otherwise let's say below the age of 22 cheers to that, you know and the only thing I would ask so that we can put it out is the amount of money you would like to allocate to that young individual so we can put it out and we can get applications

[Speaker 2] (3:17:53 - 3:18:06)

definitely happy to help some young restaurant to get their feet on the ground, make sure they have a safe landing, point them in the right direction and mentor outside of money, guide

[Speaker 3] (3:18:06 - 3:18:34)

all of that what do you think is a good amount? I'm not allowed to invest in other restaurants, in my personal capacity not allowed to do that any amount, amount doesn't matter whatever you suggest what are you looking for, I'm in should we do say young kid starting a restaurant how much money would he need?

50 lakhs enough to give a moonshot together

[Speaker 1] (3:18:35 - 3:18:44)

yeah 50 lakhs, he won't be able to build a big restaurant to be honest why not look at even a cloud kitchen potential or a restaurant, a restaurant is going to cost

[Speaker 2] (3:18:44 - 3:18:45)

more than that why ruin life

[Speaker 1] (3:18:48 - 3:18:48)

I'll do

[Speaker 3] (3:18:48 - 3:18:51)

let me start it off and say I'll do 25 lakhs

[Speaker 2] (3:18:51 - 3:18:51)

ok

[Speaker 3] (3:18:52 - 3:19:02)

you guys can tell me an amount it doesn't have to be big or small just something, random number we'll sum it up and we'll find a kid

[Speaker 2] (3:19:02 - 3:19:08)

I'm very happy to mentor as much as I can I'm not physically allowed to invest in other businesses

[Speaker 1] (3:19:08 - 3:19:14)

I'm not physically allowed to invest but I'm going to personally perhaps in my personal capacity do it and I'll give about 15 yeah

[Speaker 3] (3:19:14 - 3:19:31)

10, ok 50 that's 50 and we'll mentor him with time I have less to add here but you guys have so much skill set in this but it'll be an interesting project we'll find this one young talented kid and we'll see what we can make of it

[Speaker 2] (3:19:31 - 3:19:38)

yeah sounds good which according to you, which will go best

[Speaker 3] (3:19:38 - 3:19:39)

with your coffee

[Speaker 2] (3:19:39 - 3:19:42)

yeah passion fruit

[Speaker 3] (3:19:42 - 3:19:46)

but the sea salt will go really well

[Speaker 1] (3:19:46 - 3:19:48)

yeah like a margarine

[Speaker 2] (3:19:49 - 3:19:50)

citrus one

[Speaker 3] (3:19:51 - 3:19:52)

sea salt will go really well

[Speaker 1] (3:19:53 - 3:19:55)

then not lavender, not rose

[Speaker 2] (3:19:55 - 3:19:57)

I have a question, why do I have one macaron less

[Speaker 1] (3:19:58 - 3:20:01)

sure they thought you needed one less come on, start

[Speaker 2] (3:20:05 - 3:20:08)

he's always, he's never been afraid of challenges

[Speaker 1] (3:20:08 - 3:20:13)

don't make me dance so we're gonna make you

[Speaker 3] (3:20:14 - 3:20:25)

touch one item and tell us what it is smell one item and tell us what it is and taste one item and tell us what it is while you're blindfolded really weird this one you'll smell

[Speaker 1] (3:20:25 - 3:20:42)

oh my god, smells like pickle mirchi ka achar, I don't know mirchi ka achar it is mirchi ka achar

you're kidding me it's like a biscuit or something or broke, it's a biscuit it's a biscuit

[Speaker 4] (3:20:43 - 3:20:44)

I don't know

[Speaker 1] (3:20:44 - 3:20:45)

parle-G, I don't know

[Speaker 4] (3:20:47 - 3:20:49)

is it? it is?

[Speaker 1] (3:20:50 - 3:20:52)

did you make a cheesecake with it?

[Speaker 2] (3:20:52 - 3:21:52)

I make a cheesecake out of parle-G at Farsi Cafe he can see guys taste is easy for me you can eat that shit cat oh taste is my speciality not bad citronella rose water this is not rose water I will lose everything if it's rose water taste it better not be a grasshopper it's red ants that's slimy does it have batteries? I can't eat it no way bro, come on why are you holding it and smelling it's banana every time you said Indian, I was drinking what is that, is that an insect? are they baby cockroaches?

[Speaker 3] (3:21:54 - 3:22:04)

pomegranate got it I'll go for this one elaichi you're giving her all the ingredients she uses, you know that right?

[Speaker 1] (3:22:04 - 3:22:24)

every day, did I say that? it's like tamarind tamarind chutney both of us got all three one second, give me cinnamon cinnamon

[Speaker 3] (3:22:27 - 3:22:31)

if you guys have given me something weird no, see you tomorrow

[Speaker 4] (3:22:34 - 3:22:34)

lemon

[Speaker 3] (3:22:45 - 3:22:51)

you perverted welcome to F&B action

[Speaker 1] (3:22:52 - 3:23:05)

one second hold on hey guys I know this is not Nikhil but we put in a lot of effort for this show for you guys to watch it for free and you guys don't even subscribe to it

[Speaker 3] (3:23:05 - 3:23:23)

you're learning so much for free at least subscribe such a great team we have, we have Meghna we have Vivek, we have Khagendra we have Ali and we have Rudra these guys make the food he takes care of the logistics these guys are the backbone of the entire thing and then there's just me imitating Nikhil

[Speaker 2] (3:23:24 - 3:23:28)

Dhanya and Abit who are not here who also help a lot

[Speaker 3] (3:23:28 - 3:23:39)

also, the food you see everybody loves the food so we have Khagendra and Ali doing that so please tell them to subscribe subscribe

[Speaker 4] (3:23:40 - 3:23:41)

like, follow

[Speaker 3] (3:23:42 - 3:23:43)

come on

[Speaker 4] (3:23:43 - 3:23:49)

3, 2 it's the end you gotta subscribe